First Edition:

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Version: 1.0/ August, 2023

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PREFACE

BFSI stands for the Banking, Financial Services, and Insurance sector. Fundamentally, it represents a major portion of the multi-billion-dollar Indian economy comprising all Banking, Insurance, and Non- Banking Financial Institutions. The latter is known as the NBFCs. Also, the BFSI industry largely refers to financial service.

India, as a business destination, fosters all the positives for the BFSI sector to flourish at an appreciable pace. Inter-dependent factors of government policy, active public/private involvement, robust regulatory measures, and technological evolution have spurred the BFSI sector to register strong numbers in recent years.

Banking is one of the pillar components of the BFSI industry. It would not be wrong to call it an industry in and of itself, comprising of the following structure:

This book is focused on understands the roles and functions of financial market, principal of lending and understand the importance of ethics in banking and financial institutions.

The content development team of GJK has put in tremendous effort in bringing out this publication and the team looks forward to your valuable suggestions and recommendations for the improvement of this book.

Mail us at Support@gtecjaineducation.com or write to us at **"Office No. 12/A, Ninth Floor, A-Wing, Pinnacle Corporate Park, Bandra Kurla Complex, Bandra East, Mumbai – 400051.**

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Introduction of Banking

What is Bank

A financial entity that accepts deposits from the public and then gives this money as loans and advances to those who require funds. The bank typically earns money from taking deposits at a lower cost and then lending the money at a higher rate.

Definition of a Bank

The banking is defined as "accepting for the purpose of lending or investment, of deposit of money from the public, repayable on demand or otherwise, and withdrawal by cheque, draft and order or otherwise"

Characteristics & Features of a Bank

1. **Dealing in Money:** Bank is a financial institution which deals with another people's money
   i.e. money given by depositors.
2. **Individual I Firm / Company:** School of Distance Education A bank may be a person, firm or a company. A banking company means a company which is in the business of banking.
3. **Acceptance of Deposit:** A bank accepts money from the people in the form of deposits which are usually repayable on demand or after the expiry of a fixed period. It gives safety to the deposits of its customers. It also acts as a custodian of funds of its customers.
4. **Giving Advances:** A bank lends out money in the form of loans to those who require it for different purposes.
5. **Payment and Withdrawal:** A bank provides easy payment and withdrawal facility to its customers in the form of cheques and drafts; it also brings bank money in circulation. This money is in the form of cheques, drafts, etc.
6. **Agency and Utility Services:** A bank provides various banking facilities to its customers. They include general utility services and agency services.
7. **Profit and Service Orientation:** A bank is a profit seeking institution having service-oriented approach.
8. **Ever increasing Functions:** Banking is an evolutionary concept. There is

9. continuous expansion and diversification as regard the functions, services and activities of a bank.
10. **Connecting Link:** Bank acts as a connecting link between borrowers and lenders of money. Banks collect money from those who have surplus money and give the same to those who are in need of money.
11. **Banking Business:** A bank's main activity should be to do business of banking which should not be subsidiary to any other business.
12. **Name Identity:** A bank should always add the word bank to its name to enable people to know that it is a bank and that it is dealing in money.

Importance of Banks

Bankers play very important role in the economic development of the nation. The health of the economy is closely related to the growth and soundness of its banking system. Although banks create no new wealth but their fund collection, lending and related activities facilitate the process of production, distribution, exchange and consumption of wealth. In this way, they become very effective partners in the process of economic development.

- Banks mobilize small, scattered and idle savings of the people, and make them available for Productive purposes
- By offering attractive interests, Banks promote the habit of thrift and savings
- By accepting savings, Banks provide safety and security to the surplus money
- Banks provide convenient and economical means of payments
- Banks provide convenient and economical means of transfer of funds
- Banks facilitate the movement of funds from unused regions to useful regions
- Banking helps trade, commerce, industry and agriculture by meeting their financial Requirements
- Banking connects saving people and investing people.
- Through their control over the supply of money, Banks influence the economic activities, Employment, income level and price level in the economy

Role of Banking

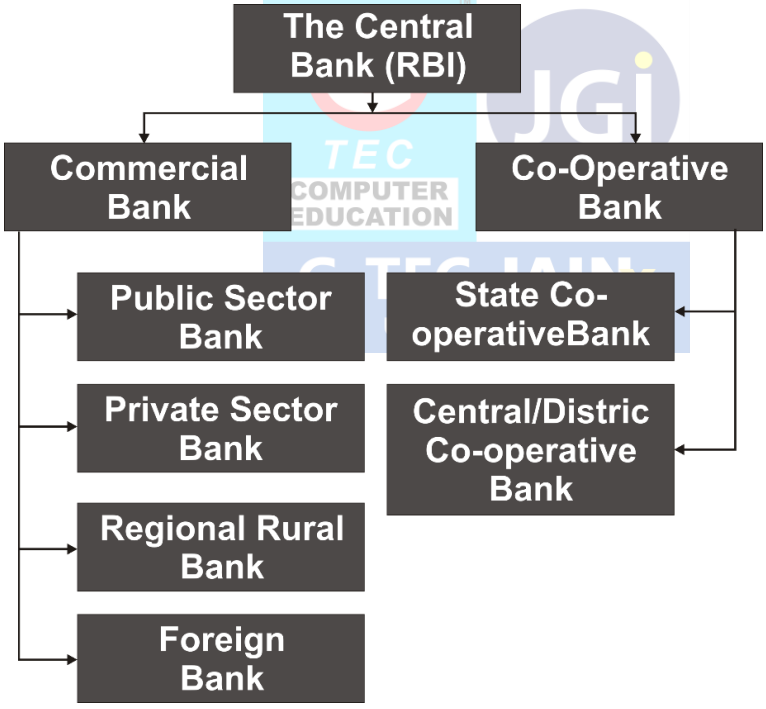
Banks provide funds for business as well as personal needs of individuals. They play a significant role in the economy of a nation. Let us know about the role of banking.

- It encourages savings habit amongst people and thereby makes funds available

for productive use.

- It acts as an intermediary between people having surplus money and those requiring money for various business activities.
- It facilitates business transactions through receipts and payments by cheques instead of currency.
- It provides lo
- Loans and advances to businessmen for short term and long-term purposes.
- It also facilitates import export transactions.
- It helps in national development by providing credit to farmers, small-scale industries and self-employed people as well as to large business houses which lead to balanced economic development in the country.
- It helps in raising the standard of living of people in general by providing loans for purchase of consumer durable goods, houses, automobiles, etc.

Structure of India banking sector in



Reserve Bank of India (central Bank)

The Reserve Bank of India (RBI) is India's central banking and monetary authority. RBI regulates loans offered by banks and non-banking financial institutions to government entities, businesses, and consumers and controls the availability of funds in the financial system for credit. RBI was originally privately owned but is now owned

wholly by the Indian government. Set up on April 1, 1935 under the Reserve Bank of India Act, RBI's central office was initially in Kolkata but moved to Mumbai in 1937.

Head Quarter: Mumbai
Four Local Boards: Kolkata, Delhi, Chennai and Mumbai.
Objectives: Short terms loans to Govt. under ways and means advances. Governor: Dr.Raghu Ram Rajan
Four Deputy Governors:
Mr.Harun Rashid Khan, Mr.S.S. Mundra, Dr.Urjit R. Patel, Mr. R. Gandhi

- It has 4 regional offices, 15 Branches and 5 sub-offices. Reserve Bank of India (RBI) is the Central Bank and Supreme monetary authority of India.
- RBI was established on April 1, 1935 under RBI Act 1934.
- RBI was established with 5 crore as its capital as a private shareholders bank.
- RBI was nationalised on January 1, 1949.
- Financial year of RBI is from July 1 to June 30.

Functions of RBI:

- It acts as a central bank of India.
- It acts as a banker to the Central and State Government.
- It acts as an advisor to the government.
- It acts as banker's bank and supervisor.
- RBI acts as the controller of money supply and credit.
- It manages the foreign exchanges.
- RBI promotes commercial banking, rural (agricultural) credit, industrial finance and export finance etc.
- RBI issues currency.
- RBI acts as central clearing house for inter-bank transactions.
- It act as lender of last resort.

Commercial Banks

Commercial Banks are banking institutions that accept deposits and grant short-term loans and advances to their customers. In addition to giving short-term loans, commercial banks also give medium-term and long-term loan to business enterprises. Now-a-days some of the commercial banks are also providing housing loan on a long-term basis to individuals. There are also many other functions of commercial banks, which are discussed later in this lesson.

Types of Commercial banks:

Commercial banks are of three types i.e., Public sector banks, Private sector banks and

foreign banks.

- **Public Sector Banks:** These are banks where majority stake is held by the Government of India or Reserve Bank of India. Examples of public sector banks are: State Bank of India, Corporation Bank, Bank of Boroda and Dena Bank, etc.
- **Private Sectors Banks:** In case of private sector banks majority of share capital of the bank is held by private individuals. These banks are registered as companies with limited liability. For example: The Jammu and Kashmir Bank Ltd., Bank of Rajasthan Ltd., Development Credit Bank Ltd, Lord Krishna Bank Ltd., Bharat Overseas Bank Ltd., Global Trust Bank, Vysya Bank, etc.
- **Foreign Banks:** These banks are registered and have their headquarters in a foreign country but operate their branches in our country. Some of the foreign banks operating in our country are Hong Kong and Shanghai Banking Corporation (HSBC), Citibank, American Express Bank, Standard & Chartered Bank, Grindlay's Bank, etc. The number of foreign banks operating in our country has increased since the financial sector reforms of 1991.

Co-operative Banks

People who come together to jointly serve their common interest often form a co-operative society under the Co-operative Societies Act. When a co-operative society engages itself in banking business it is called a Co-operative Bank. The society has to obtain a licence from the Reserve Bank of India before starting banking business. Any co-operative bank as a society is to function under the overall supervision of the Registrar, Co-operative Societies of the State. As regards banking business, the society must follow the guidelines set and issued by the Reserve Bank of India.

Types of Co-operative Banks:

There are three types of co-operative banks operating in our country. They are primary credit societies, central co-operative banks and state co-operative banks. These banks are organized at three levels, village or town level, district level and state level.

- **Central Co-operative Banks:** These banks operate at the district level having some of the primary credit societies belonging to the same district as their members. These banks provide loans to their members (i.e., primary credit societies) and function as a link between the primary credit societies and state co-operative banks.
- **State Co-operative Banks:** These are the apex (highest level) co-operative banks in all the states of the country. They mobilise funds and help in its proper channelisation among various sectors. The money reaches the individual borrowers from the state co-operative banks through the central co-operative

banks and the primary credit societies.

Functions of Commercial Banks

The functions of commercial banks are of two types.

(A) Primary functions; and

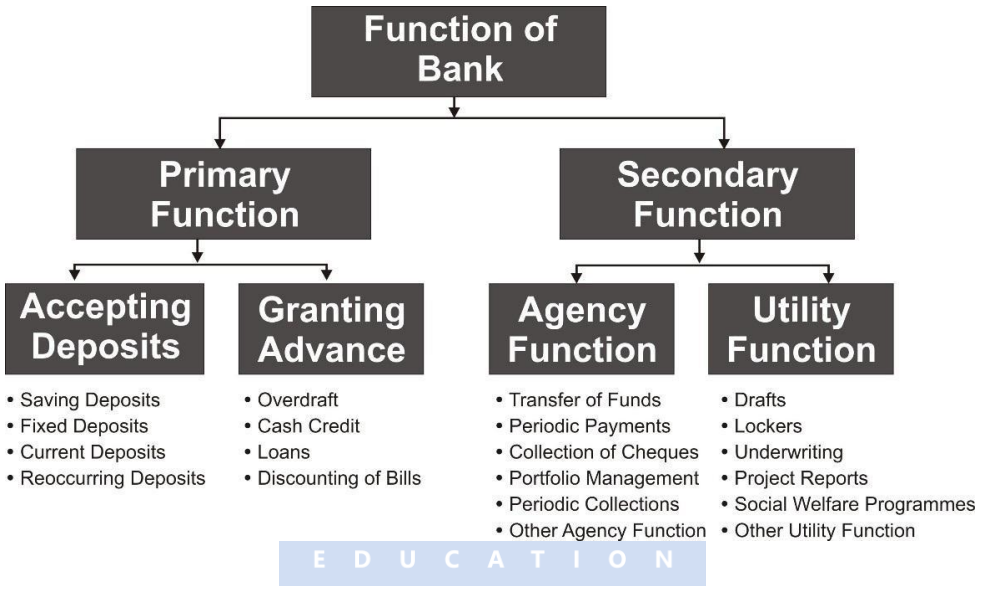
(B) Secondary functions.

Let us discuss details about these functions.

(A) **Primary functions:** The primary functions of a commercial bank include:

a) Accepting deposits; and

b) Granting loans and advances.



E D U C A T I O N

Deposits

Accepting deposits

The most important activity of a commercial bank is to mobilise deposits from the public. People who have surplus income and savings find it convenient to deposit the amounts with banks. Depending upon the nature of deposits, funds deposited with bank also earn interest. Thus, deposits with the bank grow along with the interest earned. If the rate of interest is higher, public are motivated to deposit more funds with the bank. There is also safety of funds deposited with the bank.

Savings Account

It offers high liquidity and is very popular among the masses. They provide a lot of flexibility for deposits and withdrawal of funds from the account and also have cheque facility. The interest provided by Public sector bank is only 4%, however, some of the private banks like Yes Bank and Kotak Bank offers interest between 6-7%.

Features of Saving Account

- The main objective of saving account is to promote savings.
- The money can be withdrawn either by cheque or withdrawal slip of the respective bank.
- The rate of interest payable is very nominal on saving accounts. At present it is between 4% to 6% p.a in India.
- A minimum amount has to be kept on saving account to keep it functioning.
- No loan facility is provided against saving account.
- Saving account encourages savings habit among salary earners and others who have fixed income.
- It provides immediate funds as and when required through ATM.
- It shows income of a salaried and other person earned during the year.
- Withdrawals are allowed subject to certain restrictions.
- Saving account is of continuing nature. There is no maximum period of holding.

Who Can Open Savings Account

- An individual in his/her own name
- Individuals in their joint names with suitable repayment instructions
- Minor represented by parent/guardian
- Minor students above 10 years

- Clubs, Societies, Associations, Trusts, Executors, Educational Institutions, Administrators, HUF, etc.

Account opening procedure

- Fill the account opening form. The vital points are name, address, occupation and the amount to be deposited.
- Provide declaration of accepting the rules and regulations of bank.
- An existing customer of the bank should introduce you to the bank or from a respectable citizen known to the bank.

The following are the documents to be submitted for accounting opening procedure:

- Photocopy of Voter ID or Passport
- Address Proof
- Passport size photographs – 2

After submission, the bank takes a couple of weeks to complete the paper work and process your account opening form. On its completion the bank will send cheque book and debit card via post.

**Note: Savings account can be opened and operated by minor too who has completed the age of 10 years.*

Savings Account Calculation

Saving Account Interest	Old Method	New Method
Balance for first 25 days	5,00,000	5,00,000
Balance for next 5 days	10,000	10,000
Interest Calculated	on 10,000 (minimum Balance)	On daily basis
Interest Formula Used	3.5%*30/365*10000	4%*(25/365)*500000 + 4%*(5/365)*10000
Interest Amount	28	1374

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Current Account

It is a demand deposit and is meant for businessmen to conduct their business transactions smoothly. These are the most liquid deposits and there are no restrictions on the number and the number of transactions in a day. Moreover, banks do not pay any interest on these accounts.

Features of Current Accounts:

- Current bank accounts are operated to run a business.
- It is a non-interest bearing bank account.
- It needs a higher minimum balance to be maintained as compared to the savings account.
- Penalty is charged if minimum balance is not maintained in the current account.
- It charges interest on the short-term funds borrowed from the bank.
- It is of a continuing nature as there is no fixed period to hold a current account.
- It does not promote saving habits with its account holders.
- Banker requires KYC (Know your Customers) norms to be completed before opening a current account.
- The main objective of current bank account is to enable the businessmen to conduct their business transactions smoothly.
- There is no restriction on the number and amount of deposits.
- There is also no restriction on the number and amount of withdrawals made, as long as the current account holder has funds in his bank account.
- Generally, bank does not pay any interest on current account. Nowadays, some banks do pay interest on current accounts.

Who can open Current Account?

- Individuals of sound mind and who have attained majority.
- Two or more individuals in their joint names.
- Proprietary Concerns (Sole Proprietorships)
- Partnerships Firms
- Hindu Undivided Families
- Companies
- Clubs, Societies, Associations, Committees, Schools etc
- Trusts
- Executors
- Administrators

- Government and Semi-Government Bodies, Local Authorities etc.

Based on the current account variant you choose, you will be eligible for a host of services at free/concessional rates.

Companies, firms and other business entities primarily use this account.

Fixed deposit

It is an instrument offered by banks which gives a higher interest than a regular savings account and offers a wide range of tenures ranging from 7 days to 10 years. The rate of interest varies from bank to bank, usually, it lies between 6-10%. You may or may not have a separate bank account to open a fixed deposit with the bank. You may be charged some penalty in case of early closure of FD account. However, with the focus of government to have a bank account for everyone under the scheme of Pradhan Mantri Jan DhanYojana, you can open up a bank account for free if you do not have one and enjoy various facilities offered by banks.

<u>Main features of Bank FD:</u>

- Tenure ranges between six months to 10 years
- Guaranteed Returns
- Interest income monthly, quarterly or annually.
- Reinvest interest income and gain the influence of compounding
- Partial or full withdrawal facility is available with penalty interest rates
- Loan against deposits
- Senior citizens get higher coupon rates in the range of 0.25 -1.00 %.

<u>Factors you should know before selecting a Bank FD:</u>

- Compare rate of interests (Fixed deposit rates)
- Type of interest (Fixed rate or floating rate)
- Frequency of compounding
- Mode of interest payout
- Withdrawal facility
- Sweep facility
- Know other attached benefits.

Recurring Deposit

It is a special type of term deposit where you do not need to deposit a lump sum savings rather a person has to deposit a fixed sum of money every month (which can be as low as Rs

100 per month). These accounts have maturities ranging from 6 months to 120 months.

You can also give a standing order to the bank to withdraw a fixed sum of money from your saving account on every fixed date and the same is credited to RD account. However, the bank may charge some penalty for delay in paying the installments.

Features of Recurring Deposit Account

- The main features of recurring deposit account are as follows:-
- The main objective of recurring deposit account is to develop regular savings habit among the public.
- In India, minimum amount that can be deposited is Rs.10 at regular intervals.
- The period of deposit is minimum six months and maximum ten years.
- The rate of interest is higher.
- No withdrawals are allowed. However, the bank may allow to close the account before the maturity period.
- The bank provides the loan facility. The loan can be given up to 75% of the amount standing to the credit of the account holder.

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Business Loans & Advances

Grant of loans and advances

The second important function of a commercial bank is to grant loans and advances. Such loans and advances are given to members of the public and to the business community at a higher rate of interest than allowed by banks on various deposit accounts. The rate of interest charged on loans and advances varies according to the purpose and period of loan and also the mode of repayment.

Loans

A loan is granted for a specific time period. Generally commercial banks provide short-term loans. But term loans, i.e., loans for more than a year may also be granted. The borrower may be given the entire amount in lump sum or in instalments. Loans are generally granted against the security of certain assets. A loan is normally repaid in instalments. However, it may also be repaid in lump sum.

Advances

An advance is a credit facility provided by the bank to its customers. It differs from loan in the sense that loans may be granted for longer period, but advances are normally granted for a short period of time. Further the purpose of granting advances is to meet the day-to-day requirements of business. The rate of interest charged on advances varies from bank to bank. Interest is charged only on the amount withdrawn and not on the sanctioned amount.

Types of Advances

Banks grant short-term financial assistance by way of cash credit, overdraft and bill discounting. Let us learn about these.

a) Cash Credit: Cash credit is an arrangement whereby the bank allows the borrower to draw amount up to a specified limit. The amount is credited to the account of the customer. The customer can withdraw this amount as and when he requires. Interest is charged on the amount actually withdrawn. Cash Credit is granted as per terms and conditions agreed with the customers.

b) Overdraft: Overdraft is also a credit facility granted by bank. A customer who has a current account with the bank is allowed to withdraw more than the amount of credit balance in his account. It is a temporary arrangement. Overdraft facility with specified limit may be allowed either on the security of assets, or on personal security, or both.

c) Discounting of Bills Banks provide short-term finance by discounting bills, that is, making payment of the amount before the due date of the bills after deducting a certain rate of discount. The party gets the funds without waiting for the date of maturity of the bills. In case any bill is dishonored on the due date, the bank can recover the amount from the customer.

Secondary functions

In addition to the primary functions of accepting deposits and lending money, banks perform a number of other functions, which are called secondary functions. These are as follows

- Issuing letters of credit, travelers cheque, etc.
- Undertaking safe custody of valuables, important document and securities by providing safe deposit vaults or lockers.
- Providing customers with facilities of foreign exchange dealings.
- Transferring money from one account to another; and from one branch to another branch of the bank through cheque, pay order, demand draft.
- Standing guarantee on behalf of its customers, for making payment for purchase of goods, machinery, vehicles etc.
- Collecting and supplying business information.
- Providing reports on the credit worthiness of customers.
- Providing consumer finance for individuals by way of loans on easy terms for purchase of consumer durables like televisions, refrigerators, etc.
- Educational loans to students at reasonable rate of interest for higher studies, especially for professional courses

Know Your Customer (KYC), as the name implies, Banks are required by Regulators to know whom they are dealing with.

For a natural person, they need to know:

- Identity: everything that is listed on the identification document, such as full name, date and place of birth, nationality, residential address, etc. In many countries the Banks also need to know whether you are a "US Person" because of the FATCA requirements.
- Political Status: whether the client or his/her relative is holding on to any prominent political appointment.
- Criminal/Terrorism/Sanctions link: whether the client is linked to any financial crime, terrorism or sanctions.
- Source of fund: the source of fund has to be legal, of course.
- Expected volume of transaction: if there is an exceptionally large amount of money involved in the transaction, the Bank need to ensure that the source of

fund is legal.

- For an entity, they need to know:
- Beneficial Owner: who is ultimately in control of this entity? Identification documents required.
- Representative: who is operating this entity on behalf of the Owner? Identification documents required.
- Expected volume of transaction.

We have covered the requirements, now let us look at the process:

- Client on-boarding: The Bank establishes a relationship with the Client and collect all the identification or business registration documents.
- Screening: The Client will be checked against a database for name matches with politicians, criminals, terrorists and other sanctioned persons/entities. If there is no matches, good, they can carry on with their business relationships. If there are matches, the Compliance Officers will beginning their painful process of verifying whether the matches are real matches or false matches. If it is a false match, good, if not they will need to decide what to do with the Client now that there is a match with the database. If the Client is a criminal or terrorist linked, they probably need to freeze the account and submit a report to the authorities. Another form of screening is to monitor the transactions and spot any unusual transactions. If the transaction is out of the norm, the Bank need to verify that nothing fishy is going on.
- Repeat screening. The screening process will repeat periodically as the Client status and the database may change over time.

Conclusion:

The whole KYC process is not difficult to understand and can be summarized in to 1-2-3. But the execution of the process can be tedious and a lot of paperwork is involved.

Loans and advances

Loans and advances can be arranged from banks in keeping with the flexibility in business operations. Traders may borrow money for day to day financial needs availing of the facility of cash credit, bank overdraft and discounting of bills. The amount raised as loan may be repaid within a short period to suit the convenience of the borrower. Thus business may be run efficiently with borrowed funds from banks for financing its working capital requirements.

Loan is the amount borrowed from bank. The nature of borrowing is that the money is disbursed and recovery is made in installments. While lending money by way of loan, credit is given for a definite purpose and for a pre-determined period. Depending upon

the purpose and period of loan, each bank has its own procedure for granting loan. However the bank is a liberty to grant the loan requested or refuse it depending upon its own cash position and lending policy

Types of loans

There are various types of loans available in India, and they are classified based on two factors:

- Whether they require collateral
- the purpose they are used for

Based on whether they require collateral, loans are classified into secured loans and unsecured loans. Let's take a look at each type.

A) Secured loans:

These are loans that do require collateral, i.e., you have to provide an asset to the lender as security for the money you are borrowing. That way, if you are unable to repay the loan, the lender still has some means to get back their money. The rate of interest of secured loans tends to be lower as compared to those for loans without collateral.

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Types of secured loans

1. Home loan

Home loans are a secured mode of finance, which give you the funds to buy or build the home of your choice.

The following are the type of home loans available in India:

- Land purchase loan: Purchase land for your new home
- Home construction loan: Build a new home
- Home loan balance transfer: Transfer the balance of your existing home loan at a lower interest rate
- Top up loan: Can be used to renovate an existing home or have the latest interiors for your new home.

Note that while buying a new property/home, the lender requires you make a down payment of at least 10-20% of the property's value. The rest is financed. The loan amount disbursed depends on your income, its stability and current liabilities among others.

2. Loan against property (LAP)

Loan against property is one of the most common forms of a secured loan where you can pledge any residential, commercial or industrial property for availing the funds required. The loan amount disbursed is equivalent to a certain percentage of the property's value and varies across lenders.

While some lenders may offer an amount equivalent to 50-60% of the property's value,

others
may offer an amount close to 80%. A loan against property helps you unlock the dormant value of your asset and can be used to satiate personal life goals such as higher education of children or marriage. Businesses use a loan against property for business expansion, R&D and product development among others.

3. Loans against insurance policies

Yes, you can also avail loans against your insurance policy. However, note that all insurance policies don't qualify for this. Only policies, such as endowment and money-back policies, which have a maturity value can be used to avail loans.

Thus, you can't avail a loan against a term insurance plan as it doesn't have any maturity benefits. Also, loans can't be availed against unit-linked plans as the returns aren't fixed and depends on the performance of the market. It's essential to note that you can opt for a loan

against endowment and money back policies only after they've acquired a surrender value. These policies acquire a surrender value only after paying regular premiums continuously for 3 years.

4. Gold loans

For the longest time, gold has been one of the most favoured asset classes. The organized Indian gold loan industry is expected to touch Rs.3,101 billion by 2019-20, according to a KPMG report, thanks to flexible interest rates offered by financial institutions.

A gold loan requires you to pledge gold jewellery or coins as collateral. The loan amount sanctioned is a certain percentage of the gold's value pledged. Gold loans are generally used for short-term needs and have a short repayment tenor compared to home loans and loan against property.

5. Loans against mutual funds and shares

An ideal vehicle for long-term wealth creation, mutual funds can also be pledged as collateral for a loan. You can pledge equity or hybrid funds to the financial institution for availing a loan. For doing so, you need to write to your financier and execute a loan agreement.

Your financier then will write to the mutual fund registrar and a lien on the certain number of units to be pledged is marked. Typically, you can get 60-70% of the value of units pledged as a loan.

Similarly, with shares, financial institutions create a lien against shares against which the loan is taken and the loan value is equivalent to a percentage of the value of the shares.

6. Loans against fixed deposits

The humble fixed deposit not only offers assured returns but can also come handy when you need a loan. The amount of loan can vary between 70-90% of the FD's value and varies across lenders. However, it's essential to note that the loan tenor can't be more than the FD's tenor.

B) Unsecured loans

These are loans that do not require collateral. The lender lends you the money based on past associations, and your credit score and history. Thus, you have to have a good credit history to avail these loans. Unsecured loans usually come at a higher rate of interest due to the lack of collateral.

Types of unsecured loan

1. Personal loan

Offering an instant flush of liquidity, a personal loan is one of the most popular types of unsecured loans. However, since a personal loan is an unsecured mode of finance, the interest rates are higher compared to secured loans. A good credit score along with high and stable income ensures you can avail this loan at a competitive rate of interest. Personal loans can be used for the following purposes-

- Manage all expenses of a family wedding
- Pay for a vacation or an international trip
- Finance your home renovation project
- Fund the cost of your child's higher education
- Consolidate all your debts into a single loan
- Meet unexpected/ unplanned/ urgent expenses

2. Short-term business loans

Another type of unsecured loans, a short-term business loan can be used to meet their expansion and daily expenses by various entities and organizations.

- Working capital loans
- Machinery loans and equipment finance
- Small business loans for MSMEs
- Loans for women entrepreneurs
- Loans for traders
- Loans for manufacturers
- Loans for service enterprises

Demand Loan: -

It is a loan which is repayable on demand by the bank. In other words, it is repayable at short- notice. The entire amount of demand loan is disbursed at one time and the borrower has to pay interest on it. The borrower can repay the loan either in lump sum (one time) or as agreed with the bank. Demanded loans are raised normally for working capital purpose, like purchase of raw materials, making payment of short-term liabilities. (2)

Term loans: -

Medium and long term loans are called term loans. Term loans are granted for more than a year and repayment6 of such loans is spread over a longer period. The repayment is generally made in suitable installment of a fixed amount. Term loan is required for a purpose of starting a new business activity, renovation, and modernization, expansion/extension of existing units, purchase of plant and machinery, purchase a land for setting up a factory, construction of a factory building or purchase of immovable assets. These loans are generally secured against the mortgage of land, plant and machinery, building and etc….

Cash Credit: -

Cash Credit is a flexible system of lending under which the borrower has the option to withdraw the funds as and when required and to the extent of his needs. Under this arrangement the banker specifies a limit of loan for the customer (known as cash credit limit) up to which the customer is allowed to draw. The cash credit limit is based on the borrower's need and as agreed with the bank. Against the limit of cash credit, the borrower is permitted to withdraw as and when he needs money subject to the limit sanctioned.

Overdraft:-

Over draft facility is more or less similar to 'cash credit' facility is the result of an agreement with the bank by which a current account holder is allowed to draw over and above the credit balance in his/her account. It is a short-period facility. This facility is made available to current account holder who operates their account through cheques. The customer is permitted to with the amount of overdraft allowed as and when he/she needs it and to repay it through deposit in the account as and when it is convenient to him/her. Overdraft is generally granted by a bank of the basis of a written request by the customer. Sometimes the bank also insists on either a promissory note from the borrower or personal security of borrower to ensure safety of amount withdrawn by the customer. The interest rate on overdraft is higher than is charged on loan.

The following are some of the benefits of cash credit and over draft: -

1. Cash credit and some overdraft allow flexibility of borrowing, which depends upon

the needs of the borrower.
2. There is no necessity of providing security and documentation again and again for borrowing funds.
3. This mode of borrowing is simple and elastic and meets the short-term financial needs of the business.

Discounting of Bills: -

Apart from sanctioning loans and advances, discounting of bills of exchange by bank is another way of making funds available to the customers. Bills of exchange are negotiable instruments which enables debtors to discharge their obligations to the creditors. Such bills of exchange arise out of commercial transactions both in inland trade and foreign trade. When the seller of goods has to release his dues from the buyer at a distant place immediately or after the lapse of agreed period of time, the bill of exchange facilitates this task with the help of banking institution. Banks invest a good percentage of their funds in discounting bills of exchange. These bills may be payable on demand or after a stated period.

Flexi Loans

A facility whereby you can avail funds from your approved limit and as when required and pay interest only on the amount used. You can withdraw on your loan limit, any number of times and prepay when you have extra cash, at no extra cost. Such a unique facility gives you the freedom to be in full control of your finances unlike rigid term loans and offers you savings on your EMIs by up to 45%. Here, you also have the option to pay only interest as EMIs, with the principal payable at the end of the tenor.

Based on what they are used for, loans are classified mainly into:

1. Education loans

Aspiration for higher education from reputed institutions have bolstered the demand for education loans in the country. This loan covers the basic fees of the course along with allied expenses such as the accommodation, exam fee, etc. In this loan, the student is the main borrower while parents, siblings and spouse are co-applicants.

An education loan can be taken for a full-time, part-time or vocational course along with graduation and post-graduation course in the fields of management, engineering and medicine, among others. The loan must repaid by the student once the course is complete.

A unique feature of an education loan is the moratorium period, wherein the student has the option of not paying the EMIs until after 12 months of completing the course or 6 months after he/she starts working, whichever is earlier.

2. Vehicle loans

A vehicle loan is extended in the form of a two or four-wheeler loan which helps you to buy your dream vehicle. Vehicle loans are offered either on purchase of a new vehicle or a used one. Your credit score, ratio of debt to income, loan tenor, etc., play a crucial role in determining the loan amount.

A loan approval involves the following steps:

- Loan application
- Discussion with the lender
- Background verification by the bank
- Signing in of necessary documents
- Loan sanctioning and disbursement

Innovative Functions

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The adoption of Information and Communication technology enable banks to provide many Innovative services to the customers such as;

ATM services

Automated Teller Machine (ATM) is an electronic telecommunications device that enables the clients of banks to perform financial transactions by using a plastic card. Automated Teller Machines are established by banks to enable its customers to have anytime money. It is used to withdraw money, check balance, transfer funds, get mini statement, make payments etc. It is available at 24 hours a day and 7 days a week.

Debit Cards

Even though debit cards have become widely used, many people are unfamiliar with their advantages and disadvantages. Debit cards look like credit cards, but function like cash or personal checks.

Debit cards can function in two ways:

Like an ATM card for immediate withdrawals of cash

Like a check when buying an item. The money used to pay for the transaction is usually deducted from your account within a day or two depending on when the retailer presents the transaction for payment.

Advantages of a Debit Card

- **Easy to obtain.** Once you open an account most institutions will issue you a debit card upon request.
- **Convenience.** Purchases can be made using a chip-enabled terminal or by swiping the card rather than filling out a paper check.
- **Safety.** You don't have to carry cash or a checkbook.
- **Readily accepted.** When out of town (or out of the country), debit cards are usually widely accepted (make sure to tell your financial institution you're leaving your city; to not have an interruption in service).

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Disadvantages of a Debit Card

- **No grace period.** Unlike a credit card, a debit card uses funds directly from your checking account. A credit card allows you to borrow funds on credit, leaving disposable cash in your account.
- **Check book balancing.** Balancing your account may be difficult unless you record every debit card transaction.
- **Less protection.** Most financial institutions will try and protect their customer from debit card fraud. However, a customer could potentially be liable for up to $500 on fraudulent debit card transactions compared with only $0 on credit cards. Be sure to check with your financial institution to learn the details.
- **Fees.** Using your debit card for ATM transactions may be costly if the ATM is not affiliated with your institution.

Some Guidelines

- **Guard your debit card against loss or theft.** Keep it in a safe place just like cash, credit cards or checks.
- **If you lose your debit card, notify your financial institution immediately.**
- **Choose a PIN number that only you know.** It is recommended, you don't use your phone number or birthday.
- **Guard your PIN number.** Memorize it and never write it on anything you keep with you.
- **Keep receipts** from all your debit card transactions for your records.
- **Review your statements** immediately and investigate any unknown transactions.
- **Use chip-enabled technology if available.** For the most secure transaction, if a retailer offers a chip-enabled terminal, use it instead of swiping the magnetic strip.

Credit Card

A credit card is a convenient tool that allows you to buy items now and pay for them later. If you buy something with credit, you are in debt. This means that you owe money to the company that gave you the credit card. If you don't pay the entire amount at the end of each month, you pay a fee for the credit card called interest. If managed correctly, credit cards can be a great way to build credit and manage your money.

Be aware of the advantages and disadvantages of credit cards to stay out of unnecessary trouble:

ADVANTAGES	DISADVANTAGES
• It's convenient to use in a wide variety of places – in stores, on the phone or online. • You can better manage your budget using your monthly statement with the details of all of your purchases. • It is safer than carrying a lot of cash. • You are not responsible for charges if your card is stolen as long as you report it immediately. • You can build your credit history. • You can earn prizes like frequent flyer miles, rebates or points. • Often, you need a credit card to make car, hotel, airplane or other reservations	• If you make a late payment, do not pay the balance in full, or exceed your credit limit, you will have to pay extra in fees and interest. • Credit cards can lead to debt and negatively affect your credit history if it is not managed properly. • If you do not track your purchases, it can be difficult to know how much you spend in one month until your statement arrives. • The terms and conditions can be confusing and, in some cases, they are only available in English.

Credit cards can be a very useful tool when they are used wisely.

DO	DON'T
Pay your bills on time. **Never** spend up to or more than your limit. **Remember**, credit cards are not extra cash! **Apply** for and use three or fewer credit cards. **Only charge** the amount you can pay at the end of the month. Pay your entire balance at the end of the month or as much as possible. **Use your credit card** over a long period of time to show consistency. **Read your monthly statement** carefully and notify your credit card company of any errors right away.	**Pay** your bills late. **Spend** more than your limit. **Apply** for and use many credit cards. **Keep a high balance** on your credit card. **Constantly** change credit cards. **Forget** to review your monthly statement for errors.

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Tele-banking

Telephone banking Is a service provided by a bank or other financial institution that enables customers to perform financial transactions over the telephone, without the need to visit a bank branch or automated teller machine.

Internet Banking

Online banking (or Internet banking or E-banking) is a facility that allows customers of a financial institution to conduct financial transactions on a secured website operated by the institution. To access a financial institution's online banking facility, a customer must register with the institution for the service, and set up some password for customer verification. Online banking can be used to check balances, transfer money, shop online, pay bilis etc.

Mobile Banking

Mobile banking is a system that allows customers of a financial institution to conduct a number of financial transactions through a mobile device such as a mobile phone or personal digital assistant. It allows the customers to bank anytime anywhere through their mobile phone. Customers can access their banking information and make transactions on Savings Accounts, Demat Accounts, Loan Accounts and Credit Cards at absolutely no cost.

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Electronic Clearing Services

It Is a mode of electronic funds transfer from one bank account to another bank account using the services of a Clearing House, This Is normally for bulk transfers from one account to many account's or vice versa. This can be used both fur making payments like distribution of dividend, interest, salary, pension, etc. by institutions or For collection of amounts for purposes such as payments to utility companies like telephone, electricity, or charges such as house tax, water tax etc.

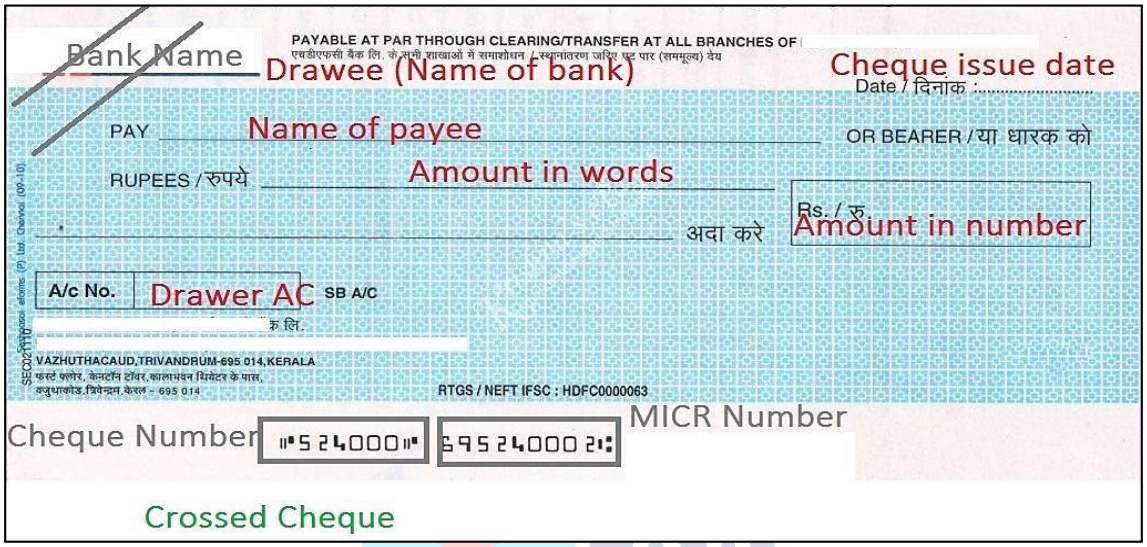
Cheques:

A cheque is an unconditional order on the bank made by the client instructing the bank to pay a certain sum of money to the person named in the cheque or his order or the bearer. This instrument is very safe and convenient method of making payments or withdrawing money from a bank.

Parts of a cheque

- Cheques generally contain:
- place of issue
- cheque number

- date of issue
- payee
- amount of currency
- signature of the drawer
- Routing / account number in MICR format.



Types of Cheques

A) Open Cheques:

An open cheque is one which is payable across the counter of the bank. It need not be paid through a bank. It can be encashed at the counter of the bank. An open cheque can further be of two types:

- BEARER CHEQUE: When a cheque is payable to a person named in the cheque or to the bearer thereof, it iscalled a bearer cheque.

  For e.g. “pay to Rakesh Kumar Garg or bearer.” Such a cheque may be paid to Rakesh Kumar Garg at the counter of the bank when he presents it for payment. Mr. Rakesh KumarGarg can either himself go to bank for getting payment or simply he may or may not sign at the back side of the cheque and hand it over to any person. Any person can go to the bank and collect its payment. The drawee bank need not take any pains to get the identification of the person to whom the payment to whom the payment is being made. A bearer cheque is transferable merely by delivery.

- ORDER CHEQUE: An order cheque is payable to the person named in the cheque or his order.For e.g. “pay to Rakesh Kumar Garg or order.” Such a cheque is

payable to either Rakesh Kumar Garg or to any person whom he orders the payment of the cheque. Order cheque ispaid by the bank only when the bank is satisfied about the identity of the payee. An order cheque is not transferable merely by delivery. It cannot be transferred without the signatures of the transferor.

B) Crossed Cheque:

A crossed cheque is one on which two parallel transverse lines with or without the word '& co.' 'not negotiable'...etc. are drawn. A crossed cheque is not payable across the counter of the bank. It must be collected through a bank. It is paid into the bank account of a person and cannot been cashed at the counter of the bank. By crossing cheques safety is ensured and the person to whom payment is eventually made can be traced because such a cheque is always paid into a bank account. A crossed cheque provides protection not only to the holder of the cheque but also to the receiving and collecting bankers.

Demand Darft:

Bank draft is a bill drawn either on demand or otherwise by one banker on another in favour of a third party or by one branch of a bank on another branch of the same bank or by the head office of a branch or vice versa for a sum of money payable on demand or order. It is also known as demand drafts as they are always payable on demand without any days of grace and there cannot be any bearer drafts. They are always used as a mode of remittance by parties for sending money from one place to another. For the preparation of this draft bank charges a nominal commission or this service.

Difference between Cheque and Demand Draft

Demand Draft	Cheques
It Can Not be made payble to bearer	It may be drawn payable to bearer
Its payment canot be stopped	It is countermanded as in case of a cheque
It is drawn by a bank upon itself	A cheque is drawn by one person upon another

What is RTGS?

The full form of RTGS is "Real Time Gross Settlement". RTGS can be defined as "the continuous (real-time) settlement of funds transfers individually on an order by order basis (without netting)"

What do you mean by Real Time? What is the Meaning of Gross Settlement?

Here the words 'Real Time' refers to the process of instructions that are executed at the time they are received, rather than at some later time. On the other hand, "Gross

Settlement" means the settlement of funds transfer instructions occurs individually (on an instruction by instruction basis). The settlement of funds actually takes place in the books of RBI and thus the payments are considered as final and irrevocable

What is NEFT?

The full form of NEFT is "National Electronic Funds Transfer (NEFT). The NEFT is a nation wide payment system facilitating one-to-one funds transfer. Under this system, individuals, firms and corporates can electronically transfer funds from any bank branch to any individual, firm or corporate having an acount with any other bank branch in the country participating in the system.

What is IMPS?

Immediate Payment Service (IMPS) is an instant real-time inter-bank electronic funds transfer system in India. IMPS offers an inter-bank electronic fund transfer service through mobile phones. Unlike NEFT and RTGS, the service is available 24/7 throughout the year including bank holidays.

The following table illustrates the basic difference between the fund transfer methods:

	NEFT	RTGS	IMPS
Minimum Amount	Rs.1	Rs.2 lakh	Rs.1
Maximum Amount	No limit	Rs.10 lakh	Rs.2 lakh
Transfer Mechanism	Batches	One-on-one settlement	One-on-one settlement
Transfer Speed	2 hours (subject to cut-off timings and batches)	Immediately	Immediately
Availability	**Weekdays:** 12 batches (8:00 a.m. - 6:30 p.m.) **Saturday:** 6 batches (8:00 a.m. - 1:00 p.m.) **Sunday, bank holidays:** Unavailable	**Weekdays:** 8:00 a.m. - 4:00 p.m **Saturdays:** 9:00 a.m. - 4:30 p.m **Sunday, bank holidays:** Unavailable	24 X 7
Tranfer Charges	Up to Rs.10,000 - Rs.2.50 From Rs.10,000 to Rs.1 lakh - Rs.5 From Rs.1 lakh to Rs.2 lakh - Rs.15 From Rs.2 lakh to Rs.5 lakh - Rs.25 From Rs.5 lakh to Rs.10 lakh - Rs.50	From Rs.2 lakh to Rs.5 lakh - Rs.25 From Rs.5 lakh to Rs.10 lakh - Rs.50	Up to Rs.10,000 - Rs.2.5 From Rs.10,000 to Rs.1 lakh - Rs.5 From Rs.1 lakh to Rs.2 lakh - Rs.15
Online/Offline	Both	Both	Online

E- Banking

E-banking involves information technology-based banking. Under this I.T system, the banking services are delivered by way of a Computer-Controlled System. This system does involve direct Interface with the customers. The customers do not have to visit the banks premises.

Features and Benefits

- Check your account balances, review activity, access account history, and set up Alerts
- Transfer funds between accounts and to other Santander customer's accounts
- Transfer funds to an external checking, savings, or money market savings account at another domestic financial institution
- Set up recurring and future-dated transfers
- View check images
- Reorder Checks
- Pay bills
- Receive e-Bills and reminders through Bill Pay
- Change Password, User ID, Security Image, Security Phrase, and Challenge
- Questions and/or Answers for the Online Banking service
- Online Banking Guarantee (Refer to Online Banking Agreement)
- Retrieve User ID

Advantages of Online Banking/ Internet Banking

- The operating cost per unit services is lower for the banks.
- It offers convenience to customers as they are not required to go to the bank's premises. There is very low incidence of errors.
- The customer can obtain funds at any time from ATM machines.
- The credit cards and debit cards enables the Customers to obtain discounts from retail outlets.
- The customer can easily transfer the funds from one place to another place electronically.

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Popular services covered under E-Banking

- Automated Teller Machines.
- Credit Cards,
- Debit Cards.
- Smart Cards,
- Electronic Funds Transfer (EFT) System.
- Mobile Banking.
- Internet Banking.
- Tele-banking
- Home banking
- Demat facility
- Cheques Truncation Payment System
- Social Banking

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Financial Services

Financial Services

The finance industry encompasses a broad range of organizations that deal with the management of money.

Among these organizations are Asset Management Companies like leasing companies, merchant bankers and Liability Management Companies like discounting houses and acceptance houses, and general financial institutions like banks, credit card companies, insurance companies, consumer finance companies, stock exchanges.

The term 'Financial Services' in a broad sense means "mobilizing and allocating savings." Thus, it includes all activities involved in the transformation of savings into investment.

Following are some of the examples of financial services:

Leasing, credit card services, factoring, portfolio management, financial consultancy services, Underwriting, discounting and rediscounting of bills, Depository services, housing finance, Hire purchases, Mutual Fund management.

The financial services can also be called 'financial intermediation'. It is the process by which funds are mobilized from a large number of savers and make them available to all those who are in need of it.

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Characteristics of financial services

- It is a customer-intensive industry. Identification of need and wants of customer is the first step. It will help the financial service firms to design the financial strategy, which gives due respect to costs, liquidity and maturity consideration.
- Financial services are intangible in nature. The institution providing the services should have a good image and confidence of the client. The have to focus on quality and innovativeness of their services, this will build credibility and gain the trust of clients.
- Production and supply of financial services must be performed simultaneously. This demands a clear-cut organization and their clients.
- Demand and supply must be properly balanced. This is because of the perishable nature of financial services.
- Marking of financial people intensive. It is subject to variability of performance and quality of service. The personnel in financial services firms need to be selected, based on their suitability.

- Financial services firm should always be proactive in visualizing in advance what the market wants, or reactive to the needs and wants of customers. They must always be changing to the tune of the market.

Classification of Financial Services Industry

The financial intermediaries in India can be traditionally classified into two:

- Capital market intermediaries and
- Money market intermediaries.

The capital market intermediaries consist of term lending institutions and investing institutions which mainly provide long term funds. On the other hand, money market consists of commercial banks, co-operative banks and other agencies which supply only short term funds. Hence, the term „financial services industry" includes all kinds of organizations which intermediate and facilitate financial transactions of both individuals and corporate customers.

Types of Financial Services

Financial service institutions render a wide variety of services to meet the requirements of individual users. These services may be summarized as below:

1. Provision of funds:
    (a) Venture capital
    (b) Banking services
    (c) Asset financing
    (d) Trade financing
    (e) Credit cards
    (f) Factoring and forfaiting
2. Managing investible funds:
    (a) Portfolio management
    (b) Merchant banking
    (c) Mutual and pension funds
3. Risk financing:
    (a) Project preparatory services
    (b) Insurance
    (c) Export credit guarantee
4. Consultancy services:
    (a) Project preparatory services
    (b) Project report preparation

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(c) Project appraisal
(d) Rehabilitation of projects
(e) Business advisory services
(f) Valuation of investments
(g) Credit rating
(h) Merger, acquisition and reengineering

5. Market operations:
(a) Stock market operations
(b) Money market operations
(c) Asset management
(d) Registrar and share Trusteeship
(f) Retail market operation
(g) Trusteeship
(f) Retail market operation
(g) Futures, options and derivatives

6. Research and development:
(a) Equity and market research
(b) Investor education
(c) Training of personnel
(d) Financial information services

Importance of Financial Services

The successful functioning of any financial system depends upon the range of financial services offered by financial service organizations. The importance of financial services may be understood from the following points:

Economic growth: The financial service industry mobilises the savings of the people, and channels them into productive investments by providing various services to people in general and corporate enterprises in particular. In short, the economic growth of any country depends upon these savings and investments.

Promotion of savings: The financial service industry mobilises the savings of the people by providing transformation services. It provides liability, asset and size transformation service by providing huge loan from small deposits collected from a large number of people. In this way financial service industry promotes savings.

Capital formation: Financial service industry facilitates capital formation by rendering various capital market intermediary services. Capital formation is the very basis for economic growth.

Creation of employment opportunities: The financial service industry creates and provides employment opportunities to millions of people all over the world.

Contribution to GNP: Recently the contribution of financial services to GNP has been increasing year after year in almost countries.

Provision of liquidity: The financial service industry promotes liquidity in the financial system by allocating and reallocating savings and investment into various avenues of economic activity. It facilitates easy conversion of financial assets into liquid cash.

Scope of Financial Services

Financial Services offered are mainly 2 types -

Fund Based Services — it refers to services that are used to acquire assets or funds for a customer it consists of —

- Primary market activities
- Secondary market activities
- Foreign exchange activities
- Specialized Financial Services

Fund based services

Fund based income comes mainly from interest spread (the difference between the interest earned and interest paid), lease rentals, income from investments in capital market and real estate Major part of the income is earned through fund-based activities. At the same time, it involves a large share of expenditure also in the form of interest and brokerage.

Examples

- Underwriting shares, debentures, bonds, etc. of new issue
- Equipment Leasing
- Hire Purchase
- Bill discounting
- Accounts Receivable Financing/Factoring
- Venture capital
- Housing finance
- Insurance Services
- Mutual funds

- **Underwriting shares, debentures, bonds :** Underwriting' refers to the functions of an under-writer. An under-writer may be an individual, firm or a joint stock company, performing the under-writing function. Under-writing may be defined as a contract entered into by the company with persons or institutions, called under-writers, who undertake to take up the whole or a portion of such of the offered shares or debentures as may not be subscribed for by the public. Such agreements are called 'Under-writing agreement'.

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A newly formed company enters into an agreement with an under-writer to the effect that he will take up shares or Debentures offered by it to the public but not subscribed for in fully by the public. Such an agreement may become necessary when a company issues shares or debentures for the first time to the public, or subsequently when it is in need of working capital.

- **Equipment leasing:** A lease is an agreement under which a company or a firm acquires a right to make use of a capital asset like machinery, on payment of a prescribed fee called 'rental charges'. Long—term
- **Hire Purchase:** Hire purchase is a mode of financing the price of the goods to be sold on a future date. In a hire purchase transaction, the goods are let on hire, the purchase price is to be paid in installments and hirer is allowed an option to purchase the goods by paying all the installments
- **Bills Discounting:** Bill discounting is a short tenure financing instrument for companies willing to discount their purchase I sales bills to get funds for the short run and as for the investors in them, it is a good instrument to park their spare funds for a very short duration
- **Accounts Receivable Financing/Factoring:** A type of asset—financing arrangement in which a company uses its receivables — which is money owed by customers — as collateral in a financing agreement. The company receives an amount that is equal to a reduced value of the receivables pledged. Factoring is similar to the above with the only difference that the factoring firms purchase the receivables outright taking ownership of the receivables. The entire responsibility of collecting the book debts passes on to the factor

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- **Venture Capital:** Venture capital (VC) is financial capital provided to early—stage, high—potential, high risk, growth startup companies The venture capital fund makes money by owning equity in the companies it invests in, which usually have a novel technology or business model in high technology industries, such as biotechnology, IT, software, etc.
- **Housing Finance:** Housing finance refers to providing finance to an individual or a group of individuals for purchase, construction or related activities of house/flat etc.
- Housing loan is extended by way of term loans; for a number of years (5-20) at a certain rate of interest and against some security
- **Insurance Services :** Insurance is a form of risk management in which the insured transfers the cost of potential loss to another entity in exchange for monetary compensation known as premium
- **Mutual Funds:** A mutual fund refers to a fund raised by a financial service company by pooling the savings of the public. It is invested in a diversified portfolio with a view to spreading and minimizing the risk

Fee based services

Fee based income does not involve much risk. But, it requires a lot of expertise on the part of a financial company to offer such fee-based services

Examples

- Corporate advisory services
- Bank guarantees
- Merchant banking
- Issue management
- Loan syndication
- Credit rating
- Stock Broking
- Capital restructuring
- Letter of Credit

- **Bank guarantees:** A bank guarantee is a promise from a bank or other lending institution that if a particular borrower defaults on a loan, the bank will cover the loss. Note that a bank guarantee is not the same as a letter of credit.

- **Merchant banking:** A merchant banker is a financial intermediary who helps to transfer capital from those who possess it to those who need it. Merchant banking includes a wide range of activities such as management of customer securities, portfolio management, project counseling and appraisal, underwriting of shares and debentures, loan syndication, acting as banker for the refund orders, handling interest and dividend warrants etc.
- **Loan Syndication:** Similar to consortium financing. Taken up by the merchant banker as a lead
- Manager. It refers to a loan arranged by a bank called lead manager for a borrower who is usually a large corporate customer or a government department. It also enables the members of the syndicate to share the credit risk associated with a particular loan among themselves
- **Credit Rating:** Evaluates the credit worthiness of a debtor, especially a business (company) or a government It is an evaluation made by a credit rating agency of the

  debtor's ability to pay back the debt and the likelihood of default Some credit rating agencies; ICRA, CRISIL, S & P, Moody's
- **Stock Broking:** Stock broking. the function of buying and selling FINANCIAL SECURITIES such as STOCKS SHARES and BONDS through the STOCK MARKET by a dealer (stockbroker) who acts as an agent on behalf of clients wishing to buy or sell securities.

Types of Financial Activities

Fund based Activities

- Underwriting or investment in shares, debentures, bonds, etc. of new issues (Primary Market Activities)
- Dealing in secondary market activities
- Participating in money market instruments eg. Discounting bills, treasury bills, certificate of deposit etc.
- Involving in equipment leasing, hire purchase, venture capitals
- Dealing in foreign exchange activities

Commercial paper

A commercial is a short-term negotiable money market instruments. It has the character of an unsecured promissory note with a fixed maturity of three to six months. Banking and non- banking companies can issue this for raising their short term debt. It also carries and attractive rate of interest.

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Treasury bill

A treasury bill is also a money market instruments issued by the central government. It also issued at a discount and redeemed at par. Recently, the government has come out with short term Treasury bill of 182-days bills and 364-days bills.

Certificate of deposit

The scheduled commercial banks have been permitted to issue certificate of deposit without any regulation on interest rates. This is also money market instruments and unlike a fixed deposit receipt, it is a negotiable instrument and hence it offers maximum liquidity.

Deep discount bonds

There will be no interest payments in the cash of keep discount bonds also. Hence, they sold at a large discount to their nominal value. This bond could be gifted to any person.

Option Bond

These bonds may be cumulative or non-cumulative as per the option of the holder of the bonds. In the case of cumulative bonds, interest is accumulated and is payable only on maturity.

Equity with 100% safety net

Some companies make "100% safety net" offer to the public. It means that they give a guarantee to the issue price. Suppose, the issue price is Rs.40/- per share the company is ready to get it back at Rs.40/- at any, irrespective of the market price.

Convertible bonds

A convertible bond is one which can be converted into equity shares at per-determined timing either fully or partially. They are compulsory convertible bonds which provide fore conversion within 18 months of their issue. There are optionally convertible bonds which provide for conversion within 36 months.

Easy exit bond As the name indicates, this bond enables the small investors to encash the bond at any time after 18 months of its issue and thereby paving a way for an easy exit. It has a maturity period of 10 years with a call option any time after 5 years.

Carrot and stick bonds

Carrot bonds a low conversion premium to encourage early conversion, and sticks allow the issuer to call the bond at a specified premium if the common stock is trading at a specified percentage above the strike price.

Global depository Receipt (GDR)

Global depository Receipt is a dollar denominated instrument traded on a stock exchange in Europe or the U.S.A. or both. It represents a certain number of underlying equity shares.

Challenges faced by the financial service sector.

Financial service sector has to face lot of challenges in its way to fulfil the ever growing financial demand of the economy. Some of the important challenges are listed below:

- **Lack of qualified personnel:** The financial services sector is fully geared to the task of financial creativity. However, this sector has to face many challenges. In fact, the dearth of qualified and trained personnel is an important impediment in its growth.
- **Lack of investor awareness:** The introduction of new financial products and instruments will be of no use unless the investor is aware of the advantages and uses of the new and innovative products and instruments.
- **Lack of transparency:** The whole financial system is undergoing a phenomenal change in accordance with the requirements of the national and global environments. It is high time that this sector gave up their orthodox attitude of keeping accounts in a highly secret manner. Hence, this sector should opt for better levels of transparency.
- **Lack of specialization:** In the scene, each financial intermediary seems to deal in different financial service lines without specializing in one two areas. In other words, each intermediary is acting as financial super market delivering so many financial products and dealing in different varieties of instrument.
- **Lack of recent dada:** Most of the intermediaries do not spend more on research. It is very vital that one should build up proper date base on the basis of which one could embark upon financial creativity. Moreover a proper date base would keep oneself abreast of the recent developments in other parts of the whole world and above all, it would enable the fund managers to take sound financial decisions.

Various Financial Services

- Companies
- SBI Capital Markets Limited
- Bajaj Capital Limited
- DSP Merrill Lynch Limited
- Birla Global Finance Limited
- Housing Development Finance Corporation
- PNB Housing Finance Limited
- ICICI Group
- LIC Finance Limited
- L & T Finance Limited
- Karvy Group

Money

Money is the root of all progress For thousands of years, metals such as gold, silver and bronze served as money because they were available, affordable, durable, fungible (substitutable), portable and reliable But shortages of precious metals created problems for the economy leading to development of paper money and electronic money. Money is essentially a matter of belief, faith and trust. Money is a matter of functions four; a medium, a measure, a standard & a store.

Need for Financial Services Intermediation

Individuals with money to save need to find those who need to borrow, and vice versa. Financial services do the job lending and collecting payment more easily, cost effectively and expertly

Risk management

Without financial services people will focus on saving to cover risk that they might not buy many goods and services

Financial services help put money to productive use A person provides a **financial service** if they

- Provide financial product advice
  - to influence a person in making a decision in relation to a particular financial product
- Deal in a financial product
  - acquiring 'issuing, varying/disposing a financial product
- underwriting th Make a market for a financial product
  - Through a facility, at a place or otherwise, the person regularly states the prices at which they propose to acquire or dispose of financial Products on their own behalf

- Provide a custodial or depository service
    - A financial product, or a beneficial interest in a financial product, is held by the provider in trust for the client. A financial product is a facility (arrangement or Intangible property) through which, or through the acquisition of which, a person
- Makes a financial investment
    - the investor gives money to another person and the person uses the contribution to generate a financial return, or other benefit, for the investor
    - the investor has no day-to-day control over the use of the contribution to generate the return or benefit
    - Eg: a person paying money to a company for the issue of shares (the company uses the money to generate dividends for the person and the person, as a shareholder, does not have control over the day-to-day affairs of the company)
- Manages financial risk
    - manage, avoid or limit the financial consequences to them of particular circumstances happening
    - Eg. taking out insurance and hedging a liability by acquiring a futures contract or entering into a currency swap
- Makes non-cash payments
    - by ways other than making physical delivery of a domestic or foreign currency in the form of notes / coins
    - Eg: facility for direct debit of a deposit account, a facility for the use of cheques

Financial services are economic services provided by the finance industry which comprises of

- Deposit-taking Firms
    - Commercial banks
    - Credit unions
    - Finance companies
    - e securities or Interests

    - Property and casualty insurance companies
    - Pension funds
    - Investment companies
    - Mutual Funds
- Professional asset management companies
- Institutional investors
- Securities Firms
    - Investment banks
    - Brokers and dealers
    - Mortgage banks

Marketing of Financial Services:

Characteristics

- Intangible; cannot be visually communicated in advertisements
- Inseparability; of prod and dist^{n}-direct sale
- Lack of special identity; as products are similar, emphasis is on package (branch, location, staff, and promotion) rather than product
- Heterogeneous; dependent on human factor, technology, same person/ATM may render service differently each time
- Labour intensive
- Fluctuation in demand as per economic activity
- Information based; relatively unexciting nature makes attracting consumer attention and inspiring consumer desire difficult.

Recent Factors Affecting Marketing of Financial Services

- Changing customer behaviour; longer life spans, increasing urbanization, increased home ownership, higher proportion of women in workforce, better living standards, etc.
- Deregulation and government intervention; to protect interests of consumers and to facilitate more competitive and efficient industry
- Intense competition
- Technological innovation; new products, new payment systems, new forms of distribution and delivery, enhanced MIS
- Client relationship and quality; aim ¡s to establish long term, multiple service relationship

Forex Market

What is the 'Forex Market?'

The forex market is the market in which participants can buy, sell, exchange, and speculate on currencies. The forex market is made up of banks, commercial companies, central banks, investment management firms, hedge funds, and retail forex brokers and investors. The currency market is considered to be the largest financial market with over $5 trillion in daily transactions, which is more than the futures and equity markets combined.

What is the importance of forex market?

Currency exchange market is the primary backbone of global investing and worldwide export- import. This helps to create demand for a countries goods and offerings and also overall development of the nation's economy.

Foreign exchange also makes way for international diversification for investors who seek to currency exchange for purchasing or bidding securities and assets.

Now that you are aware of structure of forex market and also its economic importance, you should start investing in it as it is a most lucrative venture. Just get into forex trading and take its profits.

The Forex market is so widely used for multiple applications.

Some participants, like the hedge funds, use the Forex market to generate pure profits from fluctuating exchange prices. Other participants like commercial companies use the foreign exchange to convert currency for cross country business transactions.

Due to the different type of applications that currency trading facilitates, the market is split up into different types of Forex markets, sub markets if you will. Each sub market caters for specific applications. Let's have a look at the 3 major sub markets of the Forex market.

Spot Market:

Out of all the different types of Forex markets, the spot market is the largest and is what you will trade as the retail Forex trader. Currency is bought or sold for instant delivery, or at least in the very near future. The word 'spot' comes from the 'on the spot' type trading.

I'll give you a real life example…

Insurance

What It Is Insurance

Insurance is a tool by which fatalities of a small number are compensated out of funds collected from the insured. Insurance companies pay back for financial losses arising out of occurrence of insured events, e.g. in personal accident policy the insured event is death due to accident, and in fire policy the insured events are fire and other natural calamities. Hence, insurance is a safeguard against uncertainties. It provides financial recompense for losses suffered due to incident of unanticipated events, insured within the policy of insurance.

Insurance, essentially, is an arrangement where the losses experimented by a few are extended over several who are exposed to similar risks. Insurance is a protection against financial loss arising on the happening of an unexpected event.

An individual who wants to cover risk pays a small amount of money to an organization called on Insurance Company and gets insured. An insurance company insures different people by collecting a small amount of money from each one of them and collectively this money is enough to compensate or cover the loss that some members may suffer.

The fixed amount of money paid by the insured to the insurance company regularly is called premium. Insurance company collects premium to provide security for the purpose.

Insurance is an agreement or a contract between the insured and the Insurance Company (Insurer).

Important Term Used In Insurance

- **Accident** – An unexpected event, which happens by chance and is not expected in the normal course of events.
- **Broker** – An independent person or firm who acts on behalf of the insured in placing business with the insurance company. They are responsible for the collection of premiums, but do not have the authority to give coverage on the insurance company's behalf without their specific agreement. Compensation is on a commission basis
- **Claim** – Notice to an insurer that under the terms of a policy, a loss may be covered.
- **Effective Date** – The date on which an insurance policy or bond goes into effect, and from which protection is furnished.
- **Endorsement** – Amendment to the policy used to add or delete coverage. Also referred to as a "rider

- **Fair Market Value** – The price that a willing buyer would pay a willing seller, neither being under any compulsion to sell or buy. **FLOATER POLICY** – A policy under the terms of which protection follows moveable property, covering it wherever it may be.
- **Grace Period** – A period after the premium due date, during which an overdue premium may be paid without penalty. The policy remains in force throughout this period.
- **Insurance** – A formal social device for reducing risk by transferring the risks of several individual entities to an insurer. The insurer agrees, for a consideration, to assume to a specified extent the losses suffered by the insured.
- **Insurance Policy** – A legal document issued to the insured setting out the terms of the contract of insurance.
- **Insured** – The person (or persons) whose risk of financial loss from an insured peril is protected by the policy. Sometimes called the "policyholder".
- **Insurer** – The Insurance Company.
- **Lapse** – Termination of a policy because of failure to pay the premium.
- **Market Value** – The price for which something would sell, especially the value of certain types of assets such as stocks and bonds. It is based on what they would sell for under current market conditions. For example, common stock market value would be the price of the stock as of a specified date.
- **Policy** – Legal document issued to the insured setting out the terms of the contract of insurance.
- **Policy Limit** – The maximum amount a policy will pay, either overall or under a particular coverage.
- **Policy Period (or Term)** – The period during which the policy contract provides protection (e.g. six months or one or three years).
- **Policyholder** – The person (or persons) whose risk of financial loss from an insured peril is protected by the policy.
- **Premium** – The amount of money an insurance company charges for insurance coverage.
- **Property Insurance** – Property insurance indemnifies an insured whose property is stolen, damaged, or destroyed by a covered peril. The term property insurance includes direct or indirect property losses covered in several lines of insurance.
- **Quote** – An estimate of the cost of insurance, based on information supplied to the

insurance company by the applicant.

- **Reimbursement** – Payment of an amount of money related to the amount of the loss to or on behalf of the insured upon the occurrence of a defined loss.
- **Renewal** – The continuation in full force and effect of something that is about to expire. With an insurance policy it is made either by the issuance of a new policy or renewal receipt or certificate to take effect upon the expiration of the old policy.
- **Settlement** – Usually a policy benefit or claim payment. It denotes an agreement between both parties to the policy contract as to the amount and method of payment.
- **Third Party Insurance** – Protection of the insured against liability for damage to or destruction of the bodies or property of others.
- **Underwriter** – A person trained in evaluating risks and determining the rates and coverage that will be used for them. An agent, especially a life insurance agent, who might qualify as a "field underwriter." In theory, the agent is supposed to do some underwriting before submitting the case to the home office underwriter (i.e. to make a decision on the basis of facts known to him or her on whether or not the risk is sound, and to report all facts known to him or her that might affect the risk).
- **Underwriting** – The process of evaluating a risk for the purpose of issuing insurance coverage on it.
- **Valuation** – Estimation of the value of an item, usually by appraisal.

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Basic Functions of Insurance

- Primary Functions
- Secondary Functions
- Other Functions
- **Primary Functions of Insurance**

Providing protection – The elementary purpose of insurance is to allow security against future risk, accidents and uncertainty. Insurance cannot arrest the risk from taking place, but can for sure allow for the losses arising with the risk. Insurance is in reality a protective cover against economic loss, by apportioning the risk with others.

Collective risk bearing – Insurance is an instrument to share the financial loss. It is a medium through which few losses are divided among larger number of people. All the insured add the premiums towards a fund and out of which the persons facing a specific risk is paid.

Evaluating risk – Insurance fixes the likely volume of risk by assessing diverse factors that give rise to risk. Risk is the basis for ascertaining the premium rate as well.

Provide Certainty – Insurance is a device, which assists in changing uncertainty to certainty.

- **Secondary Functions of Insurance**

Preventing losses – Insurance warns individuals and businessmen to embrace appropriate device to prevent unfortunate aftermaths of risk by observing safety instructions; installation of automatic sparkler or alarm systems, etc.

Covering larger risks with small capital – Insurance assuages the businessmen from security investments. This is done by paying small amount of premium against larger risks and dubiety.

Helps in the development of larger industries – Insurance provides an opportunity to develop to those larger industries which have more risks in their setting up.

- **Other Functions of Insurance**

Is a savings and investment tool – Insurance is the best savings and investment option, restricting unnecessary expenses by the insured. Also to take the benefit of income tax exemptions, people take up insurance as a good investment option.

Medium of earning foreign exchange – Being an international business, any country can earn foreign exchange by way of issue of marine insurance policies and a different other ways.

Risk Free trade – Insurance boosts exports insurance, making foreign trade risk free with the help of different types of policies under marine insurance cover.

Insurance provides indemnity, or reimbursement, in the event of an unanticipated loss or disaster. There are different types of insurance policies under the sun cover almost anything that one might think of. There are loads of companies who are providing such customized insurance policies.

Types of Insurance

Insurance occupies an important place in the modern world because the risk, which

can be insured, have increased in number and extent owing to the growing complexity of the present day economic system. It plays a vital role in the life of every citizen and has developed on an

enormous scale leading to the evolution of many different types of insurance. In fact, now a day almost any risk can be made the subject matter of contract of insurance. The different types of insurance have come about by practice within insurance companies, and by the influence of legislation controlling the transacting of insurance business. Broadly, insurance may be classified into the following categories:

There are two broad types of insurance:

- Life Insurance
- General Insurance

Why you need Life and General Insurance?

Scenario-01

- Your childhood friend suddenly meets with an accident. He passes away, leaving behind a wife, two kids and one elderly parent.
- Your friend had minimal savings, barely enough to cover two months' expenses.
- A Rs. 7,500 life insurance could have ensured they had Rs 10 lakh

in hand. Scenario-02

- You catch a cold. But work keeps you busy. Eventually, the cold worsens into Pneumonia. You need to be admitted in the ICU for a week.
- It costs you Rs. 60,000 for the hospital charges. And Rs. 10,000 for the treatment.
- A Rs. 3,500 health insurance could have ensured you paid 0 from your

pocket. Scenario-03

- You are going to Spain for the first time. You have a stop-over at Abu Dhabi. Your first flight gets delayed. You miss the second flight and get stuck.
- It costs Rs. 28,000 to fly to Spain. Rs. 20,000 to return to India. Plus, the loss from hotel booking cancellations.
- A travel insurance worth Rs. 500 could have helped pay the

hospital bills. Scenario-04

- You are driving to work like every other day. But the road has oil spill. A car spins out of control and hits yours. Your bumper and headlights get hurt.
- Your bumper costs Rs. 10,000 to repair. The headlights another Rs. 7,000.

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- Rs. 7,500—that's how much a car insurance costs every year which could have paid for the damages.

Types of Insurance							
Life Insurance				General Insurance			
Term Life	Money back policy	Unit Linked Insurance Plan	Pension Plans	Motor Plans	Home Plans	Health Plans	Fire Insurance

What is Life Insurance?

Life insurance is a contract that offers financial compensation in case of death or disability. Some life insurance policies even offer financial compensation after retirement or a certain period of time. Life insurance, thus, helps you secure your family's financial security even in your absence. You either make a lump-sum payment while purchasing a life insurance policy or make periodic payments to the insurer. These are known as premiums. In exchange, your insurer promises to pay an assured sum to your family in the event of death, disability or at a set time.

Life insurance can help you support your family even after retirement. Depending on what it covers, Life insurance can be classified into various types:

Term Insurance	-It is the most basic type of insurance. - It covers you for a specific period. - Your family gets a lump-sum amount in the case of your death. - If, however, you survive the term, no money will be paid to you or your family.
Whole Life Insurance	- It covers you for a lifetime. - Your family receives a certain sum of money after your death. - They will also be entitled to a bonus that often accrues on such amount.
Endowment Policy	- Like a term policy, it is also valid for a certain period. - A lump-sum amount will be paid to your family in the event of your death. - Unlike a term plan, you get the maturity proceeds after the term period.
Money-back Policy	- A certain percentage of the sum assured will be paid to you periodically throughout the term as survival benefit. - After the expiry of the term, you get the balance amount as maturity proceeds. - Your family gets the entire sum assured in case of death during the policy period. This is regardless of the survival benefit payments made.
Unit-linked Insurance Plans (ULIPs)	- Such products double up as investment tools. - A part of your premium goes towards your insurance cover. - The remaining amount is invested in Debt and Equity.

	- A lump-sum amount will be paid to your family in the event of your death.
Child Plan	- This ensures your child's financial security. - In the event of your death, your child gets a lump-sum amount. - The insurer pays the premium amounts after your death. - Your child will continue to get a certain sum of money at specific intervals.
Pension Plans	- This helps build your retirement fund. - You can get a regular pension amount after retirement. - In the case of your death, your family can claim the sum assured.

What is General Insurance?

A general insurance is a contract that offers financial compensation on any loss other than death. It insures everything apart from life. A general insurance compensates you for financial loss due to liabilities related to your house, car, bike, health, travel, etc. The insurance company promises to pay you a sum assured to cover damages to your vehicle, medical treatments to cure health problems, losses due to theft or fire, or even financial problems during travel.

Simply put, a general insurance offers financial protection for all your assets against loss, damage, theft, and other liabilities. It is different from life insurance.

Let us help you understand better:

Situation-01

- You plan to propose to your girlfriend on the Eiffel Tower. You already finalised the deal with a jeweler in Paris. But, things don't go as planned and you meet with an accident there.
- Your treatment requires Rs. 50,000. But, still paid for that dainty piece of jewellery.

How

- Your Travel insurance made you ready for emergencies. It paid for the expenses related to your accident. You could, thus, go ahead and surprise your partner with a diamond ring without worrying about the treatment costs.

Situation-02

- You cannot stop celebrating your new car. You hit the roads with your latest possession.
  Everything goes well until a car suddenly tries to overtake you. It leaves huge dents and dislocates your left mirror.

- Your new baby on the block needs repairs worth Rs. 30,000. Yet, you have a smile on your face.

How

- The dent in your car didn't cause a dent in your pocket. Your motor insurance' own damage cover paid for your car's damages caused by the accident. In fact, the insurer settled the bill directly at the garage.

Sitution-03

- Your daughter wants to become a pilot. You save all your disposable income to fund her dreams. Unfortunately, you fall severely ill.
- You need Rs. 2 lakh for your treatment immediately. Yet, you also easily pay your daughter's course fees.

How

- You didn't face a dilemma of choosing one over the other and compromise your daughter's future. Your health insurance took care of your treatment costs. Your savings, thus, remained unaffected by your sudden illness.

As you can see, General Insurance can be the answer to life's various problems. But, for that, you need to select the right insurances from the myriad ones available.

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What are the types of General Insurance available? / What all can be insured?

You can get almost anything and everything insured. But there are five key types available:

1. Health Insurance
2. Motor Insurance
3. Travel Insurance
4. Home Insurance
5. Fire Insurance

- **Health Insurance**

This type of general insurance covers the cost of medical care. It pays for or reimburses the amount you pay towards the treatment of any injury or illness. It usually covers:

- Hospitalisation
- The treatment of critical illnesses
- Medical bills prior to or post hospitalisation

- Day care procedures like Cataract operations

- **Motor Insurance**

Motor insurance is for your car or bike what health insurance is for your health.

- It is a general insurance cover that offers financial protection to your vehicles from loss due to accidents, damage, theft, fire or natural calamities
- You can also get motor insurance for your commercial vehicles.
- In India, you cannot drive or ride without motor

insurance. There are Two Types Motor Insurance

- Car Insurance
- Two Wheeler Insurance

- **Travel insurance**

A travel insurance compensates you or pays for any financial liabilities arising out of medical and non-medical emergencies during your travel abroad or within the country.

There are two types of Travel Insurance

Single Trip Policy: It covers you during a trip that lasts under 180

days Annual Multi Trip: It covers you for several trips you take

within a year. What all does travel insurance usually cover?

- Loss of baggage
- Emergency medical expenses
- Loss of passport
- Hijacking
- Delayed flights
- Accidental death

- **Home Insurance**

Home insurance is a cover that pays or compensates you for damage to your home due to natural calamities, man-made disasters or other threats.

It covers liabilities due to fire, burglary, theft, flood, earthquakes, and sabotage. It not only offers financial protection to your home, but also takes care of the valuables inside the property.

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- **Fire Insurance**

Fire insurance pays or compensates for the damages caused to your property or goods due to fire.

- It covers the replacement, reconstruction or repair expenses of the insured property as well as the surrounding structures.
- It also covers the damages caused to a third-party property due to fire.
- In addition to these, it takes care of the expenses of those whose livelihood has been affected due to fire.

Types of fire insurance

Valued policy: The insurer firsts value the property and then undertakes to pay compensation up to that value in the case of loss or damage.
Floating policy: It covers the damages to properties lying at different places.
Comprehensive policy: This is known as an all-in-one policy. It has a wide coverage and includes damages due to fire, theft, burglary, etc.
Specific policy: This covers you for a specific amount which is less than the real value of the property.

Importance of Life Insurance

Insurance has evolved as a process of safeguarding the interest of people from loss and uncertainty. It may be described as a social device to reduce or eliminate risk of loss to life and property.

Life Insurance can support one's life/family's life in many ways as -

1. Provide safety and security
2. generates financial resources
3. Life insurance encourages savings
4. Promotes economic growth
5. Medical support

Life insurance is a must buy if you want to secure your life as well as the life of your loved ones in future. Life insurance can act as a buffer in more than one way, between the financial distress that life's uncertainties may cause and your loved ones.

Tax benefit from Life Insurance Policies

The Indian Income Tax Act, make buying insurance “cheaper” as well as an efficient investment for long term savings.

On Premiums:

- Section 80D of the Insurance Act is an effective way for the salaried person to reduce tax liability through life insurance policy.
- Investments in Life Insurance premium is subject to rebate
- Premium:
    - Paid by an individual in respect of:
        - himself/herself,
        - his/her spouse, and
        - any of his/her children

Premium amount paid should not exceed 20% of the sum assured.

Premiums paid for Health Related Riders

- Some of the critical illness, hospitalization cash and other health related riders attached to a Life Insurance policy may also be eligible for rebate under section 80D of the Insurance Act.
- This deduction is available to both Individuals & HUF.
- Rs.15,000 is the maximum amount deductible during the year for an individual as well as a senior citizen.
- Condition for applicability of deduction is that the premium must be paid by cheque in the previous year out of the income chargeable to tax.

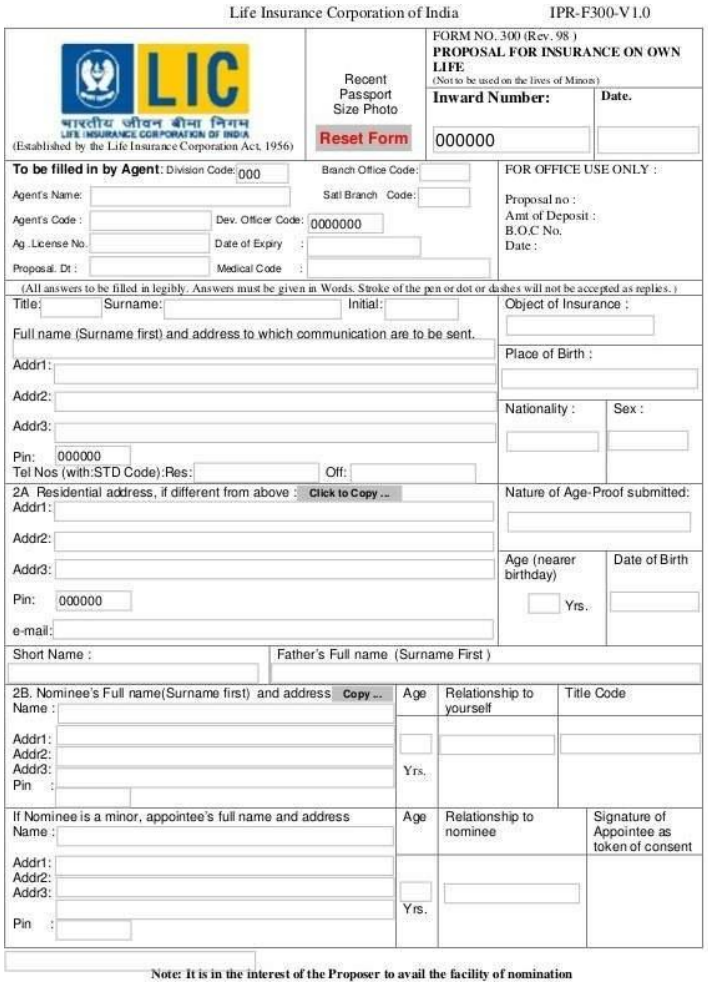
Death Claims and Maturity Benefits

- Life Insurance Policies are under an EEE (Exempt-Exempt-Exempt) regime i.e. that the Premiums Paid, Income earned by the Investments, and payment of Maturity proceeds or claim are all exempt “E” from tax under section 10(10)(D) of the Income Tax Act.
- The only policies that are not eligible for exemption on payment on maturity or claim
  are Single Premium Policies or Policies where the sum assured was less than 5 times the Premium paid.

Procedures for taking a LIC

Procedures for taking a Life Insurance Policy In 1956, the parliament of India nationalized the private insurance industry in the country. LIC (Life insurance corporation of India or Bhartiya Jeevan Bima Nigam) started controlling the life insurance in the country. It is a government-owned group headquartered at Mumbai, India. Following are the steps or procedures for taking a Life Insurance Policy:

1. **Filling up the Proposal form: Just like filling up an application form for an admission to colleges likewise goes for a life insurance too. They have coined it as a "Proposal Form". It seeks some basic information like name, address, date of birth, plan you may be eyeing on, whether you want it as a protection to your family or for your old age benefits and previous insurance details if any. Exactly like any form you fill up, even here you are required to sign below the stated declaration.**



Life Insurance Corporation of India IPR-F300-V1.0

LIC भारतीय जीवन बीमा निगम LIFE INSURANCE CORPORATION OF INDIA
(Established by the Life Insurance Corporation Act, 1956)

Recent Passport Size Photo

Reset Form

FORM NO. 300 (Rev. 98)
PROPOSAL FOR INSURANCE ON OWN LIFE
(Not to be used on the lives of Minors)

Inward Number: 000000 Date.

To be filled in by Agent: Division Code: 000 Branch Office Code:
Agent's Name: Satl Branch Code:
Agent's Code : Dev. Officer Code: 0000000
Ag .License No. Date of Expiry :
Proposal. Dt : Medical Code :

FOR OFFICE USE ONLY :
Proposal no :
Amt of Deposit :
B.O.C No.
Date :

(All answers to be filled in legibly. Answers must be given in Words. Stroke of the pen or dot or dashes will not be accepted as replies.)

Title: Surname: Initial:

Full name (Surname first) and address to which communication are to be sent.

Addr1:
Addr2:
Addr3:
Pin: 000000
Tel Nos (with:STD Code):Res: Off:

Object of Insurance :
Place of Birth :
Nationality : Sex :

2A Residential address, if different from above : Click to Copy ...
Addr1:
Addr2:
Addr3:
Pin: 000000
e-mail:

Nature of Age-Proof submitted:
Age (nearer birthday) Yrs. Date of Birth

Short Name : Father's Full name (Surname First)

2B. Nominee's Full name(Surname first) and address Copy ...
Name :
Addr1:
Addr2:
Addr3:
Pin :

Age Yrs. Relationship to yourself Title Code

If Nominee is a minor, appointee's full name and address
Name :
Addr1:
Addr2:
Addr3:
Pin :

Age Yrs. Relationship to nominee Signature of Appointee as token of consent

Note: It is in the interest of the Proposer to avail the facility of nomination

2. Personal statement:

A personal statement is a form which seeks information about the medical history of the proposer and his family. Any false information given here may lead to canceling of the insurance contract when found.

LIFE INSURANCE CORPORATION OF INDIA
(Established by the Life Insurance Act, 1956)
PERSONAL STATEMENT REGARDING HEALTH
(Revival of Lapsed Policies both Medical & Nonmedical basis)

F.No. 680 / 683(Rev .75)
Date of Receipt
Inward No._____

Agent's Name _____

Pune Divisional Office :-_____ Branch Office _____ Policy No _____

1. Full name of the Life Assured
(IN BLOCK LETTERS) _____

Full Address _____

Occupation _____ Name of Employer _____Length of Service with him _____

2. Since the date of your proposal for the above mentioned Policy :-	Answer Yes or No	If 'Yes' give details of ailment date & duration doctors consulted.
(a) Have you ever suffered from any illness / disease requiring treatment for a week or more ?		
(b) Did you ever have any operation, accident or injury?		
(c) Have you had a electrocardiogram, X-Ray or Screening, blood urine or stool examination?		

3 a). Has a proposal or an application for revival of a policy on your life made to this or any other Office of the Corporation of any Insurer ever been: a) _____
(i) Withdrawn or dropped? (i) _____
(ii) Accepted with an extra premium or lien? (ii) _____
(iii) Deferred or declined? (iii) _____
(iv) Accepted on terms otherwise than those proposed? If so, give details (iv) _____

b) Is any proposal or an application for revival of a Policy on your life under consideration of this or any other office of the Corporation ? If answer is 'Yes' give the following details
(i) Proposal No. _____
(ii) Policy No. _____

4. Are you at present in sound health? _____

N.B. :- For Revivals under non-medical scheme (Question Nos. 6 & 7)

5. (I) State your height (without shoes) _____ cms. (ii)Your weight (with thin clothes) _____ kgs.

6.. State below of all your Policies issued and / or revived under any of the scheme of the Corporation

Name of the Bra. Office	Policy No Prop. No.	Sum Assured	Year of issue of Policy	P & T	Med. / Non Med	Status

7. For Females only:-

(a) Since the date of your proposal under above mentioned Policy.

(I) Have you been menstruating regularly?_____ (ii) Have you had any miscarriages?_____

(iii) Have you suffered or are you suffering from any disease of breast, ovaries or uterus?_____

(b) State the date of last menstruation_____ (c) State the date of last delivery_____

(c) Are you pregnant now? _____

3. Medical examination:

After submitting the proposal form and personal statement, the proposer is supposed to undergo a medical examination only by any of the doctors on LIC's official panel of medicos. The report is submitted to L.I.C. directly by the doctor. It plays a great role in deciding the fate of the proposal. One of the most important procedures for taking a Life Insurance Policy. List of Doctors approved by L.I.C.

4. Proof of age: The rates of premiums for most policies depend on the age of the life assured at the time of effecting the policy. So, mentioning the correct age on both the proposal form and the personal statement becomes mandatory. The age to be stated is the age nearer birthday on the date of commencement of policy. For instance, if the birthday is January 1st, 1975 and the policy is to be commenced from April 15th, 2017. The age to be given on the proposal form and personal statement should be 42 years.

The proof of age which L.I.C. generally accepts are:

A. Certified extract from Municipal or other records made at the time of birth.

B. Certificate of baptism or certified extract from the family bible only if it comprises age or date of birth.

C. Certified extract from the record of one's alma mater. That is, school or college records if it has birth date or age.

D. Certified extract from service register in the case of government employees.

*Under exceptional case, L.I.C. may accept horoscope if the person applying for insurance is not in a position to produce any of the above. The horoscope must have been prepared at the time of birth or around that time.

5. Reviewing process:

The officers representing L.I.C. then strictly examine the proposal form, personal statement, medical reports, proof of age and agent's remarks. They either accept the proposal or may even reject it.

6. Acceptance of the proposal:

After examining all the necessary forms and documents, L.I.C. may send an intimation for acceptance or rejection based on whether your application is accepted or rejected.

7. Payment of premium:

The contract is reckoned to be completed upon the first successful payment as a premium by the assured and following which, L.I.C. issues a receipt as an acknowledgment for the payment made. Going forward, the assured must pay premiums at the right time.

8. Issuance of insurance policy: Last but not the least, the written agreement is prepared and sent to the assured. It contains the name, address, age, policy number, terms, and conditions. It is known as an insurance policy.

viduals or business owners, it has something for each and all. It may not be full proof but will certainly help us to recover the majority of the loss which could not have been even dreamt of recovering had we been uninsured. Following are the prime advantages of insurance which may save us from uncertain disaster bugs.

One may lose property in the hands of fire. Fire Insurance is a boon in that case.

Theft, burglary or even robbery may leave one with heavy loss. Crime Insurance helps in that case.

An accident may leave the other party disabled, and we may owe him compensation. Motor Car Insurance covers the liability for them and us.

One of the greatest advantages of Insurance is when a family is supported by a single earning member and he dies. Life Insurance takes care of that a great deal.

We may lose our job, and till we find the next one, our savings feel the heat. Unemployment Insurance ensures an income till we get our next job. A great help for sure.

Farmers may see their cattle dying as a result of an epidemic. Their bread and butter may suffer a massive blow. Cattle Insurance indemnifies the cattle owners against any loss of cattle.

Business owners may be at the receiving end of a substantial loss because of dishonesty exhibited by their employee. Fidelity Insurance shields them in this regard. It is one of the benefits or significance of insurance for businesses.

Nobody can control the climate. Farmers may get highly disheartened seeing the unwanted torrential rains pouring down and adversely affecting the standing crops which are their only source of income. Crop Insurance will come handy in this scenario.

God forbid, but what if a riot or some disturbance breaks out in your city and excited people break your expensive windows glasses. Plate Glass Insurance will be quite useful. It also protects the owners of shopping malls, libraries or showrooms.

Financial institutions offer loans to consumers by taking loans themselves from the banker's bank in their respective countries. Credit Insurance is of immense help at times of bad debts, the death of consumer or insolvency.

How Does an Insurance Works

Insurance is a way of sharing the losses of few among

many. How it works

Comprises of insurer, insured and agent

Insurance starts from proposal and ends with the benefits

Proposal should be filled and signed and signed up by

insured Based on principle of "Utmost good faith" contract is

made Establishes "Pease of mind" of insured

The insured gets appropriate compensation being in the boundary of terms

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Insurance Gives Compensation not profit

Our life is full of uncertainties and it is essential to overcome those risks so the insurance provides compensation against those losses.

Investment – An Overview

The income that a person receives may be used for purchasing goods and services that he currently requires or it may be saved for purchasing goods and services that he may require in the future .In other words, income can be what is spent for current consumption. savings are generated when a person or organization abstain from present consumption for a future use .The person saving a part of his income tries to find a temporary repository for his savings until they are required to finance his future expenditure .this result in investment.

Meaning of investment

Investment is an activity that is engaged in by people who have savings, i.e. investments are made from savings, or in other words, people invest their savings .But all savers are not investor's .investment is an activity which is different from saving. Let us see what is meant by investment.

It may mean many things to many persons. If one person has advanced some money to another, he may consider his loan as an investment. He expect to get back the money along with interest at a future date .another person may have purchased on kilogram of gold for the purpose of price appreciation and may consider it as an investment.

In all these cases it can be seen that investment involves employment of funds with the main aim of achieving additional income or growth in the values. The essential quality of an investment is that it involves something for reward. Investment involves the commitment of resources which have been saved in the hope that some benefits will accrue in future.

Thus investment may be defined as "a commitment of funds made in the expectation of some positive rate of return "since the return is expected to realize in future, there is a possibility that the return actually realized is lower than the return expected to be realized. This
possibility of variation in the actual return is known as investment risk. Thus every investment
involves return and risk.

According to Sharpe, ***"investment is sacrifice of certain present value for some uncertain***
future values".

Speculation

Speculation is the practice of engaging in risky financial transactions in an attempt to profit from short or medium term fluctuations in the market value of a tradable good such as a financial instrument, rather than attempting to profit from the underlying financial attributes embodied in the instrument such as capital gains, interest, or dividends. Many speculators

pay little attention to the fundamental value of a security and instead focus purely on price movements. Speculation can in principle involve any tradable good or financial instrument. Speculators are particularly common in the markets for stocks, bonds, commodity futures, currencies, fine art, collectibles, real estate, and derivatives.

Difference between Investment and Speculation

1. **Investment** is all about value creation (e.g. manufacturing products and providing services) while **speculation** is concerned about price movement. In the latter, you profit purely from price differences. The price movement is mostly influenced by the psychology of the market.
2. **Investment** is has lower risk but need more capital to generate more value while **speculation** is challenging, has higher risk but requires less capital. This explains why most people are speculating because its entry requirement (capital) is lower.
3. **Investment** is about getting what market offers you while **speculation** is about trying to get more by doing more in believing that you can beat the market.
4. **Investment** is about doing least since you let the companies or industries work for you by owning a piece of their businesses while **speculation** is about doing the most (unconsciously) and it is more involving because you keep chasing the price movement. You need to keep buying and selling to generate profit.
5. **Investment** is over long term while **speculation** is of shorter term. For the former, the success rate is highest by maximizing the holding period of a position while for the latter; the success rate will peak if the position is kept open for the shortest time possible. This also explains why people like to speculate because it provides
   "shortcuts" to wealth.
6. **Investment** is about simplicity while **speculation** is about complexity (timing market, predicting market direction, stock picking…). That's why most people fail when speculating. It gives a false sense of simplicity.
7. **Investment** = growing system (like a living organic creature) while **speculation**

= zero- sum game (one person's gain is another person's loss). The former will grow over time while the latter remains constant or shrinking over time.

Investment objectives

Investment is made because it serves some objective for an investor. Depending on the life stage and risk appetite of the investor, there are three main objectives of investment: safety, growth and income. Every investor invests with a specific objective in mind, and each investment has its own unique set of benefits and risks. Let us understand these objectives in detail.

1. **Safety:** While no investment option is completely safe, there are products that are preferred by investors who are risk averse. Some individuals invest with an objective of keeping their money safe, irrespective of the rate of return they receive on their capital. Such near-safe products include fixed deposits, savings accounts, government bonds, etc.
2. **Growth:** While safety is an important objective for many investors, a majority of them invest to receive capital gains, which means that they want the invested amount to grow. There are several options in the market that offer this benefit. These include stocks, mutual funds, gold, property, commodities, etc. It is important to note that capital gains attract taxes, the percentage of which varies according to the number of years of investment.
3. **Income:** Some individuals invest with the objective of generating a second source of income. Consequently, they invest in products that offer returns regularly like bank fixed deposits, corporate and government bonds, etc.

Other objectives While the aforementioned objectives are the most common ones among investors today, some other objectives include:

1. **Tax exemptions:** Some people invest their money in various financial products solely for reducing their tax liability. Some products offer tax exemptions while many offer tax benefits on long-term profits.
2. **Liquidity:** Many investment options are not liquid. This means they cannot be sold and converted into cash instantly. However, some people prefer investing in options that can be used during emergencies. Such liquid instruments include stock, money market instruments and exchange-traded funds, to name a few.

Types of Investments

1. Nonnegotiable securities

Deposits earn fixed rate of return. Even though bank deposits resemble fixed income securities they are not negotiable instruments. Some of the deposits are dealt subsequently.

a) Bank deposits: It is the simplest investment avenue open for the investors. He has

to open an account and deposit the money. Traditionally the banks offered current account, Saving account and fixed deposits account. Current account does not offer any interest rate. The drawback of having large amount in saving accounts is that the return is just 4 percent. The saving account is more liquid and convenient to handle. The fixed account carries high interest rate and the money is locked up for a fixed period. With increasing competition among the banks, the banks have handled the plain saving account with the fixed account to cater to the needs of the small savers.

b) Post office deposits: Post office also offers fixed deposit facility and monthly income scheme. monthly income scheme is a popular scheme for the retired . an interest rate of 9 percent is paid monthly .the term of the scheme is 6 years, at the end of which a bonus of 10 percent is paid .the annualized yield to maturity works out to be 15.01 per annum. after three years, premature closure is allowed without any penalty .if the closure is one year, a penalty of 5 percent is charged.

2. NBFC deposits

In recent years there has been a significant increase in the importance of non-banking financial companies in the process of financial intermediation. The NBFC come under the purview of the RBI. The Act in January 1997, made registration compulsory for the NBFCs

1) Period the period ranges from few months to five years.

2) Maximum limit the limit for acceptance of deposit has been on the credit rating of the company.

3) Interest NBFCs have been debarred from offering an interest rate exceeding 16% per annum and a brokerage fee over 2% on public deposit. The interest rate differs according to maturity period.

3. Tax sheltered saving scheme

The important tax sheltered saving scheme is

a) Public provident fund scheme(PPF): PPF earn an interest rate of 8.5% per annum compounded annually which is exempted from the income tax under sec80 C. The individuals and Hindu undivided families can participate in this scheme. There is a lock in period of

15years.PPF is not indented for those who are liquidity and short term returns. at the time of maturity no tax is to be given.

b) National saving scheme (NSS): This scheme helps in deferring the tax payment. Individuals and HUF are eligible to open NSS account in the designated post office.

c) National saving certificate: This scheme is offered by the post office. These certificate come in the denomination of Rs.500,1000,5000 and 10000.the contribution and the interest for the first five years are covered by sec 88.the interest is cumulative at the rate of 8.5%per annum and payable biannually is covered by sec 80 L.

4. Life insurance

Life insurance is a contract for payment of a sum of money to the person assured on the happening of event insured against. Usually the contract provides for the payment of an amount on the date of maturity or at a specified date or if unfortunate death occurs. The major advantage of life insurance is given below;

1) Protection saving through life insurance guarantees full protection against risk of death of the saver. The full assured sum is paid, whereas in other schemes only the amount saved is paid.
2) Easy payments for the salaried people the salary saving schemes are introduced. Further there is an installment facility method of payment through monthly, quarterly, half yearly or yearly mode.
3) Liquidity loans can be raised on the security of the policy
4) Tax relief tax relief in income tax and wealth tax is available for amounts paid by way of premium for life insurance subject to the tax rates in force.

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Type of life insurance policy

1. Endowment policy: The objective of this policy is to provide an assured sum, both in the event of the policy holders' death or at the expiry of the policy.
2. Term policy: In a term policy investor pays a small premium to insure his life for a comparatively higher value. The objective behind the scheme is not to get any amount on the expiry of the policy but simply to ensure the financial future of the investor's dependents.
3. Whole life policy: It is a low cost insurance plan where the sum assured is payable on the death of the life insured and premium are payable throughout life.
4. Money back policy: The insurance company pays the sum assured at periodical intervals to the policy holder plus the entire sum assured to the beneficiaries in case of the policy holders demise before maturity.
5. ULIPs: Unit Linked Insurance Policies are a combination of mutual fund and life insurance. Investments in ULIPs have two component-one part is used as a premium for life insurance while the other part acts s the investment fund.

The investment component works exactly like mutual fund money is invested in stocks, bonds; government securities etc., an investor receive money in return.

5. Mutual fund

Investing directly in equity shares, and debt instruments may be difficult task for a large number of customers because they want to know more about the company, promoter, prospects, competition for the product etc.in such a case, investor can go for investing in financial assets indirectly through mutual fund. A mutual fund is a trust that pools the savings of a number of investors who share a common financial goal. Each scheme of a mutual fund can have different character and objectives.

Types of return

- Capital appreciation: an increase in the value of the units of the fund is known as capital appreciation
- Dividend distribution: the profit earned by the fund is distributed among unit holders in the form of dividends.

Type of mutual funds

- Open ended schemes: In this scheme there is an uninterrupted entry and exist into the funds. The open ended scheme has no maturity period and they are not listed in the stock exchanges. The open ended fund provides liquidity to the investors since repurchase available.
- Closed ended funds: The closed ended funds have a fixed maturity period. The first time investments are made when the close ended scheme is kept open for a limited period. Once closed, the units are listed on a stock exchange .investors can buy and sell their units only through stock exchanges.

Other classification

- Growth scheme: aims to provide capital appreciation over medium to long term. Generally these funds invest their money in equities.
- Income scheme: aims to provide a regular return to its unit holders. Mostly these funds deploy their funds in fixed income securities.
- Balanced scheme: a combination of steady return as well as reasonable growth. The fund of this scheme is invested in equities and debt instruments.
- Money market scheme: this type of fund invests its money to money market instruments.
- Tax saving scheme: this type of scheme offers tax rebates to investors.
- Index scheme: Here investment is made on the equities of the Stock index.

6. Real estate

The real estate market offers a high return to the investors. The word real estate means

land and buildings. There is a normal notion that the price of the real estate has increased by more than 12% over the past ten years. Real estate investments cannot be enchased quickly. Liquidity is a problem. Real estate investment involves high transaction cost. The asset must be managed, i.e. painting, repair, maintenance etc.

7. Commodities

Commodities have emerged as an alternative investment option now a days and investors make use of this option to hedge against spiraling inflation-commodities may be broadly divided into three. Metals, petroleum products and agricultural commodities

.Metals can be divided in to precious metals and other metals. Gold and silver are the most preferred once for beating inflation.

8. Gold

Off all the precious metals gold is the most popular as an investment. Investors generally buy gold as a hedge against economic, political, social fiat currency crisis. Gold prices are soaring to the new highs in recent years comparing to the previous decades because whenever the signs of an economic crisis arises in the world markets may find shelter in gold as safest asset class for investors all around the world.

9. Silver

Yellow metal is treated as safe haven .but silver is used abundantly for industrial applications. Investment in silver has given investor, super returns than what gold has given

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10. DEBENTURES/BONDS

A Bond is a loan given by the buyer to the issuer of the instrument. Companies, financial institutions, or even the government can issue bonds. Over and above the scheduled interest payments as and when applicable, the holder of a bond is entitled to receive the par value of the instrument at the specified maturity date.

11. EQUITY SHARE

Equity, also called shares or scrips, is the basic building blocks of a company. A company's ownership is determined on the basis of its shareholding. Shares are, by far, the most glamorous financial instruments for investment for the simple reason that, over the long

term, they offer the highest returns. Predictably, they're also the riskiest investment option.

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Concept of risk and return

Any rational investor, before investing his or her investable wealth in the stock, analysis the risk associated with the particular stock. The actual return he receives from a stock may vary from his expected return and is expressed in the variability of return.

Risk

The dictionary meaning of risk is the possibility of loss or injury; risk the possibility of not getting the expected return. The difference between expected return and actual return is called the risk in investment. Investment situation may be high risk, medium and low risk investment;

1. Buying government securities - low risk
2. Buying shares of an existing Profit making company - Medium risk
3. Buying shares of a new company - High risk

Types of risk

1. **Systematic risk:** The systematic risk is caused by factors external to the particular company and uncontrollable by the company. The systematic risk affects the market as a whole.
2. **Unsystematic risk:** In case of unsystematic risk the factors are specific, unique and related to the particular industry or company.

Sources of risk

1. **Interest rate risk:** Interest rate risk is the variation in the single period rates of return caused by the fluctuations in the market interest rate. Most commonly the interest rate risk affects the debt securities like bond, debentures.
2. **Market risk:** Jack clark francis has defined market risk as that portion of total variability of return caused by the alternating forces of bull and bear market. This is a type of systematic risk that affects share .market price of shares move up and down consistently for some period of time.
3. **Purchasing power risk:** Another type of systematic risk is the purchasing power risk .it refers to the variation in investor return caused by inflation.
4. **Business risk**: Every company operates with in a particular operating environment, operating environment comprises both internal environment within the firm and external environment outside the firm. Business risk is thus a function of the operating conditions faced by a company and is the variability in operating income caused by the operating conditions of the company.

5. **Financial risk:** It refers to the variability of the income to the equity capital due to the debt capital. Financial risk in a company is associated with the capital structure of the company. The debt in the capital structure creates fixed payments in the form of interest this creates more variability in the earning per share available to equity share holders .this variability of return is called financial risk and it is a type of unsystematic risk.

Return

The major objective of an investment is to earn and maximize the return. Return on investment may be because of income, capital appreciation or a positive hedge against inflation .income is either interest on bonds or debenture, dividend on equity, etc

Rate of return: The rate of return on an investment for a period is calculated as follows:

$$\text{Rate of return} = \frac{\text{Annual Income} + (\text{Ending Price} - \text{Beginning Price})}{\text{Beginning price}}$$

Ex: Ajay brought a share of a co. for Rs.140 from the market on 1/6/2017.the co. paid dividend of Rs.8 per share .later ajay sold the share at Rs.160 on 1/6/2018.

The rate of return = 8+ (160-140) x 100 = 20percent

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Money Market

Meaning of money market

A money market is a market for borrowing and lending of short-term funds. It deals in funds and financial instruments having a maturity period of one day to one year. It is a mechanism through which short-term funds are loaned or borrowed and through which a large part of financial transactions of a particular country or of the world are cleared.

It is different from stock market. It is not a single market but a collection of markets for several instruments like call money market, Commercial bill market etc. The Reserve Bank of India is the most important constituent of Indian money market. Thus RBI describes money market as "The centre for dealings, mainly of a short-term character, in monetary assets, it meets the short-term requirements of borrowers and provides liquidity or cash to lenders".

Functions of Money Market

1) It caters to the short-term financial needs of the economy.
2) It helps the RBI in effective implementation of monetary policy.
3) It provides mechanism to achieve equilibrium between demand and supply of short- term funds.
4) It helps in allocation of short term funds through inter-bank transactions and money market Instruments.
5) It also provides funds in non-inflationary way to the government to meet its deficits.
6) It facilitates economic development.

Players of Money Market

In money market transactions of large amount and high volume take place. It is dominated by small number of large players. In money market the players are :- Government, RBI, DFHI (Discount and finance House of India) Banks, Mutual Funds, Corporate Investors, Provident Funds, PSUs (Public Sector Undertakings), NBFCs (Non-Banking Finance Companies) etc.

Structure of Indian money market

The **Money market in India** is the money market for short-term and long-term funds with maturity ranging from overnight to one year in India including financial instruments that are deemed to be close substitutes of money. Similar to developed economies the Indian money market is diversified and has evolved through many stages, from the conventional platform of treasury bills and call money to commercial paper, certificates of deposit, repos, forward rate agreements and most recently interest rate swaps

The Indian money market consists of diverse sub -markets, each dealing in a particular type of short -term credit. The money market fulfills the borrowing and investment requirements of providers and users of short-term funds, and balances the demand for and supply of short- term funds by providing an equilibrium mechanism. It also serves as a focal point for the central bank's intervention in the market.

STRUCTURE OF INDIAN	MONEY MARKET
Organized Sector	**Unorganized Sector**
Call and Notice Money Market Indigenous Bankers	
Treasury Bill Market Lenders	Money
Commercial Bills	NBFI
Certificate of Deposits	
Commercial Papers	
Money Market Mutual Funds	
The REPO Market	
DFHI	

Organized Sector of Money Market

Organized Money Market is not a single market, it consist of number of markets. The most important feature of money market instrument is that it is liquid. It is characterized by high degree of safety of principal. Following are the instruments which are traded in money market

1) Call and Notice Money Market

The market for extremely short-period is referred as call money market. Under call money market, funds are transacted on overnight basis. The participants are mostly banks. Therefore it is also called Inter-Bank Money Market. Under notice money market funds are transacted for 2 days and 14 days period. The lender issues a notice

to the borrower 2 to 3 days before the funds are to be paid. On receipt of notice, borrower have to repay the funds.

In this market the rate at which funds are borrowed and lent is called the call money rate. The call money rate is determined by demand and supply of short term funds. In call money market the main participants are commercial banks, co-operative banks and primary dealers. They participate as borrowers and lenders. Discount and Finance House of India (DFHI), Non- banking financial institutions like LIC, GIC, UTI, NABARD etc. are allowed to participate in call money market as lenders.

Call money markets are located in big commercial centres like Mumbai, Kolkata, Chennai, Delhi etc. Call money market is the indicator of liquidity position of money market. RBI intervenes in call money market as there is close link between the call money market and other segments of money market.

2) Treasury Bill Market (T - Bills)

This market deals in Treasury Bills of short term duration issued by RBI on behalf of Government of India. At present three types of treasury bills are issued through auctions, namely 91 day, 182 day and364day treasury bills. State government does not issue any treasury bills. Interest is determined by market forces. Treasury bills are available for a minimum amount of Rs. 25,000 and in multiples of Rs. 25,000. Periodic auctions are held for their Issue.

T-bills are highly liquid, readily available, there is absence of risk of default. In India T-bills have narrow market and are undeveloped. Commercial Banks, Primary Dealers, Mutual Funds, Corporates, Financial Institutions, Provident or Pension Funds and Insurance Companies can participate in T-bills market.

3) Commercial Bills

Commercial bills are short term, negotiable and self liquidating money market instruments with low risk. A bill of exchange is drawn by a seller on the buyer to make payment within a certain period of time. Generally, the maturity period is of three months. Commercial bill can be resold a number of times during the usance period of bill. The commercial bills are purchased and discounted by commercial banks and are rediscounted by financial institutions like EXIM banks, SIDBI, IDBI etc.

In India, the commercial bill market is very much underdeveloped. RBI is trying to develop the bill market in our country. RBI have introduced an innovative instrument known as “Derivative. Usance Promissory Notes, with a view to eliminate movement of papers and to facilitate multiple rediscounting.

4) Certificate of Deposits (CDs)

CDs are issued by Commercial banks and development financial institutions. CDs are

unsecured, negotiable promissory notes issued at a discount to the face value. The scheme of CDs was introduced in 1989 by RBI. The main purpose was to enable the commercial banks to raise funds from market. At present, the maturity period of CDs ranges from 3 months to 1 year. They are issued in multiples of Rs. 25 lakh subject to a minimum size of Rs. 1 crore. CDs can be issued at discount to face value. They are freely transferable but only after the lock-in-period of 45 days after the date of issue. In India the size of CDs market is quite small. In 1992, RBI allowed four financial institutions ICICI, IDBI, IFCI and IRBI to issue CDs with a maturity period of. One year to three years.

5) Commercial Papers (CP)

Commercial Papers were introduced in January 1990. The Commercial Papers can be issued by listed company which has working capital of not less than Rs. 5 crores. They could be issued in multiple of Rs. 25 lakhs. The minimum size of issue being Rs. 1 crore. At present the maturity period of CPs ranges between 7 days to 1 year. CPs are issued at a discount to its face value and redeemed at its face value.

6) Money Market Mutual Funds (MMMFs)

A Scheme of MMMFs was introduced by RBI in 1992. The goal was to provide an additional short-term avenue to individual investors. In November 1995 RBI made the scheme more flexible. The existing guidelines allow banks, public financial institutions and also private sector institutions to set up MMMFs. The ceiling of Rs. 50 crores on the size of MMMFs stipulated earlier, has been withdrawn. MMMFs are allowed to issue units to corporate enterprises and others on par with other mutual funds. Resources mobilized by MMMFs are now required to be invested in call money, CD, CPs, Commercial Bills arising out of genuine trade transactions, treasury bills and government dated securities having an unexpired maturity up to one year. Since March 7, 2000 MMMFs have been brought under the purview of SEBI regulations. At present there are 3 MMMFs in operation.

7) The Repo Market

Repo was introduced in December 1992. Repo is a repurchase agreement. It means selling a security under an agreement to repurchase it at a predetermined date and rate. Repo transactions are affected between banks and financial institutions and among bank themselves, RBI also undertake Repo.

In November 1996, RBI introduced Reverse Repo. It means buying a security on a spot basis with a commitment to resell on a forward basis. Reverse Repo transactions are affected with scheduled commercial banks and primary dealers. In March 2003, to broaden the Repo market, RBI allowed NBFCs, Mutual Funds, Housing Finance

and Companies and Insurance Companies to undertake REPO transactions.

8) Discount and Finance House of India (DFHI)

In 1988, DFHI was set up by RBI. It is jointly owned by RBI, public sector banks and all India financial institutions which have contributed to its paid up capital. It is playing an important role in developing an active secondary market in Money Market Instruments. In February 1996, it was accredited as a Primary Dealer (PD). The DFHI deals in treasury bills, commercial bills, CDs, CPs, short term deposits, call money market and government securities.

Unorganized Sector of Money Market:-

The economy on one hand performs through organized sector and on other hand in rural areas there is continuance of unorganized, informal and indigenous sector. The unorganized money market mostly finances short-term financial needs of farmers and small businessmen. The main constituents of unorganized money market are

1) Indigenous Bankers (IBs)

Indigenous bankers are individuals or private firms who receive deposits and give loans and thereby operate as banks. IBs accept deposits as well as lend money. They mostly operate in urban areas, especially in western and southern regions of the country. The volume of their credit operations is however not known. Further their lending operations are completely unsupervised and unregulated. Over the years, the significance of IBs has declined due to growing organized banking sector.

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2) Money Lenders (MLs)

They are those whose primary business is money lending. Money lending in India is very popular both in urban and rural areas. Interest rates are generally high. Large amount of loans are given for unproductive purposes. The operations of money lenders are prompt, informal and flexible. The borrowers are mostly poor farmers, artisans, petty traders and manual workers. Over the years the role of money lenders has declined due to the growing importance of organized banking sector.

3) Non - Banking Financial Companies (NBFCs) They consist of

1. **Chit Funds:** Chit funds are savings institutions. It has regular members who make periodic subscriptions to the fund. The beneficiary may be selected by drawing of lots. Chit fund is more popular in Kerala and Tamilnadu. RBI has no control over the lending activities of chit funds.
2. **Nidhis:** Nidhis operate as a kind of mutual benefit for their members only. The

loans are given to members at a reasonable rate of interest. Nidhis operate particularly in South India.

3. **Loan or Finance Companies:** Loan companies are found in all parts of the country. Their total capital consists of borrowings, deposits and owned funds. They give loans to retailers, wholesalers, artisans and self employed persons. They offer a high rate of interest along with other incentives to attract deposits. They charge high rate of interest varying from 36% to 48% p.a.
4. **Finance Brokers:** They are found in all major urban markets especially in cloth, grain and commodity markets. They act as middlemen between lenders and borrowers. They charge commission for their services.

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Capital Market

Capital is a crucial factor in the development of an economy. The pace of economic development is conditioned, among other things, by the rate of capital formation. And capital formation is conditioned by the mobilisation and channelization of investible funds. The role of the financial system is to channel funds from surplus sectors to deficit sectors. Facilitating such flows on a national level increases the level of investment and effective demand and thus accelerates economic development. Capital market development has been closely related to an economy's overall development. At low levels of development, commercial banks tend to dominate the financial system. As an economy develops, the indirect lending by savers to investors tend to become more efficient. As economy grows further, specialised financial intermediaries and securities markets develop. As securities markets mature, investors, especially individual investors, can invest their funds directly in financial assets issued by firms.

Meaning of capital market

Capital markets are the financial markets in which corporate equity and long term debt are issued and traded. Capital market works as a conduit for demand and supply of long term debt and equity capital. Capital Markets are the means through which small and scattered savings of the investors are directed into productive activities of corporate entities. Capital markets are financial markets for the buying and selling of long-term debt- or equity-backed securities. These markets channel the wealth of savers to those who can put it to long-term productive use, such as companies or governments making long-term investments.

Capital markets typically involve issuing instruments such as stocks and bonds for the medium-term and long-term. In this respect, capital markets are distinct from money markets, which refer to markets for financial instruments with maturities not exceeding one year.

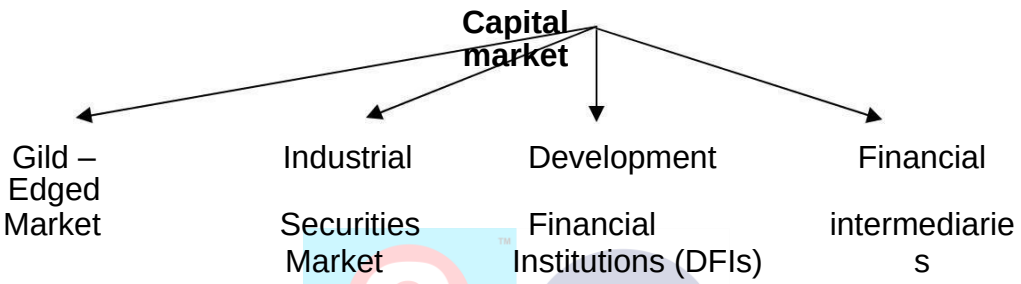
Capital markets have numerous participants including individual investors, institutional investors such as pension funds and mutual funds, municipalities and governments, companies and organizations and banks and financial institutions. Suppliers of capital generally want the maximum possible return at the lowest possible risk, while users of capital want to raise capital at the minimum possible cost.

The size of a nation's capital markets is directly proportional to the size of its economy. The United States, the world's largest economy, has the biggest and deepest capital markets

Introduction to capital Market Capital markets are increasingly interconnected in a globalized economy, which means that ripples in one corner can cause major waves elsewhere. The drawback of this interconnection is best illustrated by the global credit crisis of 2007 -09, which was triggered by the collapse in U.S. mortgage-backed securities. The effects of this meltdown were globally transmitted by capital markets since banks and institutions in Europe and Asia held trillions of dollars of these securities.

Capital market structure in India

Capital market in India structured in following ways



a) Gilt - Edged Market:- Gilt - Edged market refers to the market for government and semi-government securities, which carry fixed rates of interest. RBI plays an important role in this market.

b) Industrial Securities Market:- It deals with equities and debentures in which shares and debentures of existing companies are traded and shares and debentures of new companies are bought and sold.

c) Development Financial Institutions:- Development financial institutions were set up to meet the medium and long-term requirements of industry, trade and agriculture. These are IFCI, ICICI, IDBI, SIDBI, IRBI, UTI, LIC, GIC etc. All These institutions have been called Public Sector Financial Institutions.

d) Financial Intermediaries:- Financial Intermediaries include merchant banks, Mutual Fund, Leasing companies etc. they help in mobilizing savings and supplying funds to capital market.

Functions of capital market in India.

Capital market has a crucial significance to capital formation. For a speedy economic development adequate capital formation is necessary. The significance of capital market in economic development is explained below:-

1. **Mobilization of Savings and Acceleration of Capital Formation:** In developing countries like India the importance of capital market is self-evident. In this market, various types of securities help to mobilize savings from various sectors of population. The twin features of reasonable return and liquidity in stock exchange are definite incentives to the people to invest in securities. This accelerates the capital formation in the country.

2. **Raising Long - Term Capital:** The existence of a stock exchange enables companies to raise permanent capital. The investors cannot commit their funds for a permanent period but companies require funds permanently. The stock exchange resolves this dash of interests by offering an opportunity to investors to buy or sell their securities, while permanent capital with the company remains unaffected.

3. **Promotion of Industrial Growth:** The stock exchange is a central market through which resources are transferred to the industrial sector of the economy. The existence of such an institution encourages people to invest in productive channels. Thus it stimulates industrial growth and economic development of the country by mobilizing funds for investment in the corporate securities.

4. **Ready and Continuous Market:** The stock exchange provides a central convenient place where buyers and sellers can easily purchase and sell securities. Easy marketability makes investment in securities more liquid as compared to other assets.

5. **Technical Assistance:** An important shortage faced by entrepreneurs in developing countries is technical assistance. By offering advisory services relating to preparation of feasibility reports, identifying growth potential and training entrepreneurs in project management, the financial intermediaries in capital market play an important role.

6. **Reliable Guide to Performance:** The capital market serves as a reliable guide to the performance and financial position of corporates, and thereby promotes efficiency.

7. **Proper Channelization of Funds:** The prevailing market price of a security and relative yield are the guiding factors for the people to channelize their funds in a particular company. This ensures effective utilisation of funds in the public interest.

8. **Provision of Variety of Services:** The financial institutions functioning in the capital market provide a variety of services such as grant of long term and medium term loans to entrepreneurs, provision of underwriting facilities, assistance in promotion of companies, participation in equity capital, giving

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expert advice etc.

9. **Development of Backward Areas:** Capital Markets provide funds for projects in backward areas. This facilitates economic development of backward areas. Long term funds are also provided for development projects in backward and rural areas.

10. **Foreign Capital:** Capital markets makes possible to generate foreign capital. Indian firms are able to generate capital funds from overseas markets by way of bonds and other securities. Government has liberalised Foreign Direct Investment (FDI) in the country. This not only brings in foreign capital but also foreign technology which is important for economic development of the country.

11. **Easy Liquidity:** With the help of secondary market investors can sell off their holdings and convert them into liquid cash. Commercial banks also allow investors to withdraw their deposits, as and when they are in need of funds.

12. **Revival of Sick Units:** The Commercial and Financial Institutions provide timely financial assistance to viable sick units to overcome their industrial sickness. To help the weak units to overcome their financial industrial sickness banks and FIs may write off a part of their loan.

Segments of Securities Market

The securities market has two interdependent segments: the primary (new issues) market and the secondary market. The primary market provides the channel for sale of new securities while the secondary market deals in securities previously issued.

Primary Market

The primary market provides the channel for sale of new securities. Primary market provides opportunity to issuers of securities; Government as well as corporates, to raise resources to meet their requirements of investment and/or discharge some obligation. They may issue the securities at face value, or at a discount/premium and these securities may take a variety of forms such as equity, debt etc. They may issue the securities in domestic market and/or international market.

Secondary market

Secondary market refers to a market where securities are traded after being initially offered to the public in the primary market and/or listed on the Stock Exchange. Majority of the trading is done in the secondary market. Secondary market comprises of equity markets and the debt markets. For the general investor, the secondary market provides an efficient platform for trading of his securities. For the management of the company, Secondary equity

markets serve as a monitoring and control activity—by facilitating value-enhancing

control activities, enabling implementation of incentive-based management contracts, and aggregating information (via price discovery) that guides management decisions.

Different kinds of issues

Primarily, issues can be classified as a Public, Rights or Preferential issues (also known as private placements). While public and rights issues involve a detailed procedure, private placements or preferential issues are relatively simpler. The classification of issues is illustrated below:

Initial Public Offering (IPO)

When an unlisted company makes either a fresh issue of securities or an offer for sale of its existing securities or both for the first time to the public. This paves way for listing and trading of the issuer's securities.

A follow on public offer

When an already listed company makes either a fresh issue of securities to the public or an offer for sale to the public, through an offer document.

Rights Issue

It is when a listed company which proposes to issue fresh securities to its existing shareholders as on a record date. The rights are normally offered in a particular ratio to the number of securities held prior to the issue. This route is best suited for companies who would like to raise capital without diluting stake of its existing shareholders.

A Preferential issue

It is an issue of shares or of convertible securities by listed companies to a select group of persons under Section 81 of the Companies Act, 1956 which is neither a rights issue nor a public issue. This is a faster way for a company to raise equity capital.

Initial Public Offer (IPO)

An Initial Public Offer (IPO) is the selling of securities to the public in the primary market. It is when an unlisted company makes either a fresh issue of securities or an offer for sale of its existing securities or both for the first time to the public. This paves way for listing and trading of the issuer's securities. The sale of securities can be either through book building or through normal public issue.

	Money Market	Capital Market

Definition	Is a component of the financial markets where short-term borrowing takes place	Is a component of financial markets where long-term borrowing takes place
Maturity Period	Lasts anywhere from 1 hour to 90 days.	Lasts for more than one year and can also include life-time of a company.
Credit Instruments	Certificate of deposit, Repurchase agreements, Commercial paper, Eurodollar deposit, Federal funds, Municipal notes, Treasury bills, Money funds, Foreign Exchange Swaps, short-lived mortgage and asset-backed securities.	Stocks, Shares, Debentures, bonds, Securities of the Government.
Nature of Credit Instruments	Homogenous. A lot of variety causes problems for investors.	Heterogeneous. A lot of varieties are required.
Purpose of Loan	Short-term credit required for small investments.	Long-term credit required to establish business, expand business or purchase fixed assets.
Basic Role	Liquidity adjustment	Putting capital to work
Institutions	Central banks, Commercial banks, Acceptance houses, Nonbank financial institutions, Bill brokers, etc.	Stock exchanges, Commercial banks and Nonbank institutions, such as Insurance Companies, Mortgage Banks, Building Societies, etc.
Risk	Risk is small	Risk is greater
Market Regulation	Commercial banks are closely regulated to prevent occurrence of a liquidity crisis.	Institutions are regulated to keep them from defrauding customers.
Relation with Central Bank	Closely related to the central banks of the country.	Indirectly related with central banks and feels fluctuations depending on the policies of central banks.

Difference between money market and capital market

Instruments in the Secondary Markets

Following are the main financial products/instruments dealt in the Secondary market which may be divided broadly into Shares and Bonds:

Shares

- **Equity Shares:** An equity share, commonly referred to as ordinary share, represents the form of fractional ownership in a business venture.
- **Rights Issue/ Rights Shares:** The issue of new securities to existing shareholders at a ratio to those already held, at a price. For e.g. a 2:3 rights issue at Rs. 125, would entitle a shareholder to receive 2 shares for every 3 shares held at a price of Rs. 125 per share.
- **Bonus Shares:** Shares issued by the companies to their shareholders free of cost based on the number of shares the shareholder owns.
- **Preference shares:** Owners of these kinds of shares are entitled to a fixed dividend or dividend calculated at a fixed rate to be paid regularly before dividend can be paid in respect of equity share. They also enjoy priority over the equity shareholders in payment of surplus. But in the event of liquidation, their claims rank below the claims of the company's creditors, bondholders/debenture holders.

Bond

It is a negotiable certificate evidencing indebtedness. It is normally unsecured. A debt security is generally issued by a company, municipality or government agency. A bond investor lends money to the issuer and in exchange, the issuer promises to repay the loan amount on a specified maturity date. The issuer usually pays the bond holder periodic interest payments over the life of the loan. The various types of Bonds are as follows:

- **Zero Coupon Bond**: Bond issued at a discount and repaid at a face value. No periodic interest is paid. The difference between the issue price and redemption price represents the return to the holder. The buyer of these bonds receives only one payment, at the maturity of the bond.
- **Convertible Bond:** A bond giving the investor the option to convert the bond into equity at a fixed conversion price.

Debenture

A debenture is a document that either creates a debt or acknowledges it, and it is a

debt without collateral. In corporate finance , the term is used for a medium- to long-term debt instrument used by large companies to borrow money. In some countries the term is used interchangeably with bond, loan stock or note. A debenture is thus like a certificate of loan or a loan bond evidencing the fact that the company is liable to pay a specified amount with interest and although the money raised by the debentures becomes a part of the company's capital structure, it does not become share.

Debentures are generally freely transferable by the debenture holder. Debenture holders have no rights to vote in the company's general meetings of shareholders, but they may have separate meetings or votes e.g. on changes to the rights attached to the debentures. The interest paid to them is a charge against profit in the company's financial statements.

There are two types of debentures:

1. **Convertible debentures**, which are convertible bonds or bonds that can be converted into equity shares of the issuing company after a predetermined period of time. "Convertibility" is a feature that corporations may add to the bonds they issue to make them more attractive to buyers. In other words, it is a special feature that a corporate bond may carry. As a result of the advantage a buyer gets from the ability to convert, convertible bonds typically have lower interest rates than non-convertible corporate bonds.
2. **Non-convertible debentures**, which are simply regular debentures, cannot be converted into equity shares of the liable company. They are debentures without the convertibility feature attached to them. As a result, they usually carry higher interest rates than their convertible counterparts.

Stock Exchange

A **stock exchange** is a form of exchange which provides services for stock brokers and traders to trade stocks, bonds, and other securities. Stock exchanges also provide facilities for issue and redemption of securities and other financial instruments, and capital events including the payment of income and dividends. Securities traded on a stock exchange include stock issued by companies, unit trusts, derivatives, pooled investment products and bonds.

To be able to trade a security on a certain stock exchange, it must be listed there. Usually, there is a central location at least for record keeping, but trade is increasingly less linked to such a physical place, as modern markets are electronic networks, which gives them advantages of increased speed and reduced cost of transactions. Trade on an exchange is by members only.

The initial offering of stocks and bonds to investors is by definition done in the primary market and subsequent trading is done in the secondary market. A stock exchange is often the most important component of a stock market. Supply and demand in stock markets are driven by various factors that, as in all free markets, affect the price of stocks (see stock valuation).

There is usually no compulsion to issue stock via the stock exchange itself, nor must stock be subsequently traded on the exchange. Such trading is said to be off exchange or over-the- counter. This is the usual way that derivatives and bonds are traded. Increasingly, stock exchanges are part of a global market for securities.

Role and functions of stock exchange

1. **Providing a ready market:** The organization of stock exchange provides a ready market to speculators and investors in industrial enterprises. It thus, enables the public to buy and sell securities already in issue.
2. **Providing a quoting market prices:** It makes possible the determination of supply and demand on price. The very sensitive pricing mechanism and the constant quoting of market price allow investors to always be aware of values. This enables the production of various indexes which indicate trends etc.
3. **Providing facilities for working:** It provides opportunities to Jobbers and other members to perform their activities with all their resources in the stock exchange.
4. **Safeguarding activities for investors:** The stock exchange renders safeguarding activities for investors which enables them to make a fair judgment of a securities. Therefore directors have to disclose all material facts to their respective shareholders. Thus innocent investors may be safeguard from the clever brokers.
5. **Operating a compensation fund:** It also operate a compensation fund which is

always available to investors suffering loss due due the speculating dealings in the stock exchange.

6. **Creating the discipline:** Its members controlled under rigid set of rules designed to protect the general public and its members. Thus this tendency creates the discipline among its members in social life also.
7. **Checking functions:** New securities checked before being approved and admitted to listing. Thus stock exchange exercises rigid control over the activities of its members.
8. **Adjustment of equilibrium:** The investors in the stock exchange promote the adjustment of equilibrium of demand and supply of a particular stock and thus prevent the tendency of fluctuation in the prices of shares.
9. **Maintenance of liquidity:** The bank and insurance companies purchase large number of securities from the stock exchange. These securities are marketable and can be turned into cash at any time. Therefore banks prefer to keep securities instead of cash in their reserve. Thus it facilitates the banking system to maintain liquidity by procuring the marketable securities.
10. **Promotion of the habit of saving:** Stock exchange provides a place for saving to general public. Thus it creates the habit of thrift and investment among the public. This habit leads to investment of funds incorporate or government securities. The funds placed at the disposal of companies are used by them for productive purposes.
11. **Refining and advancing the industry:** Stock exchange advances the trade, commerce and industry in the country. It provides opportunity to capital to flow into the most productive channels. Thus the flow of capital from unproductive field to productive field helps to refine the large scale enterprises.
12. **Promotion of capital formation:** It plays an important part in capital formation in the country. Its publicity regarding various industrial securities makes even disinterested people feel interested in investment.
13. **Increasing Govt. Funds:** The govt. can undertake projects of national importance and social value by raising funds through sale of its securities on stock exchange.

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According to MARSHAL "Stock exchange are not merely the chief theaters of business transaction, they are also barometers which indicate the general conditions of the atmosphere of business."

Trading Mechanism of stock exchange

Trading System provides a fully automated trading environment for screen-based, floor-less trading on a nationwide basis and an online monitoring and surveillance mechanism. The system supports an order driven market and provides complete transparency of trading operations.

Orders, as and when they are received, are first time stamped and then immediately processed for potential match. If a match is not found, then the orders are stored in different 'books'. Orders are stored in price-time priority in various books in the following sequence:

1. Best Price
2. Within Price, by time priority.

Order Matching Rules

The best buy order will match with the best sell order. An order may match partially with another order resulting in multiple trades. For order matching, the best buy order is the one with highest price and the best sell order is the one with lowest price. This is because the computer views all buy orders available from the point of view of a seller and all sell orders from the point of view of the buyers in the market. So, of all buy orders available in the market at any point of time, a seller would obviously like to sell at the highest possible buy price that is offered. Hence, the best buy order is the order with highest price and vice-versa.

Members can pro actively enter orders in the system which will be displayed in the system till the full quantity is matched by one or more of counter-orders and result into trade(s). Alternatively members may be reactive and put in orders that match with existing orders in the system. Orders lying unmatched in the system are 'passive' orders and orders that come in to match the existing orders are called 'active' orders. Orders are always matched at the passive order price. This ensures that the earlier orders get priority over the orders that come in later.

Order Conditions

A Trading Member can enter various types of orders depending upon his/her requirements. These conditions are broadly classified into 2 categories: time related conditions and price- related conditions.

Time Conditions

- **DAY - A Day order,** as the name suggests, is an order which is valid for the day on which it is entered. If the order is not matched during the day, the order gets cancelled automatically at the end of the trading day.
- **IOC - An Immediate or Cancel (IOC**) order allows a Trading Member to buy or sell a security as soon as the order is released into the market, failing which the order will be removed from the market. Partial match is possible for the order, and the unmatched portion of the order is cancelled immediately.

Price Conditions

- **Limit Price/Order** - An order that allows the price to be specified while entering the order into the system.
- **Market Price/Order** - An order to buy or sell securities at the best price obtainable at the time of entering the order.
- **Stop Loss (SL) Price/Order** - The one that allows the Trading Member to place an order which gets activated only when the market price of the relevant security reaches or crosses a threshold price. Until then the order does not enter the market.

A sell order in the Stop Loss book gets triggered when the last traded price in the normal market reaches or falls below the trigger price of the order. A buy order in the Stop Loss book gets triggered when the last traded price in the normal market reaches or exceeds the trigger price of the order. E.g. If for stop loss buy order, the trigger is 93.00, the limit price is 95.00 and the market (last traded) price is 90.00, then this order is released into the system once the market price reaches or exceeds 93.00. This order is added to the regular lot book with time of triggering as the time stamp, as a limit order of 95.00

Settlement Process

There are basically three tasks that are performed in the process of buying and selling of securities. They are:

1. Trading 2. Clearing 3. Settlement

Trading basically deals with putting an order and its execution. Clearing deals with determination of obligations, in terms of funds and securities. Settlement means that the trade will be completed and NSCCL acts as a counter party and takes an obligation for the same. It has created a faith in the investors that all the trades would be settled and in no case any investor will have to face any problem of insufficient funds and securities. NSCCL acts as a buyer to every seller and a seller to every buyer. This principle is called novation. In case of default by any party, the NSCCL takes action against the defaulter.

National Securities Clearing Corporation Limited (NSCCL)

The NSCCL, a wholly owned subsidiary of NSE, was incorporated in August 1995.NSCCL commenced clearing operations in April 1996. It was set up for the following purposes:

- To bring and sustain confidence in clearing and settlement of securities;
- To promote and maintain, short and consistent settlement cycles;
- To provide counter-party risk guarantee, and
- To operate a tight risk containment system.

Dematerialized settlement [rolling settlement]

NSCCL follows a **T+2 rolling settlement** cycle. For all trades executed on the T day, NSCCL determines the cumulative obligations of each member on the T+1 day and electronically transfers the data to Clearing Members (CMs). All trades concluded during a particular trading date are settled on a designated settlement day i.e. T+2 day. In case of short deliveries on the T+2 day in the normal segment, NSCCL conducts a buy –in auction on the T+2 day itself and the settlement for the same is completed on the T+3 day, whereas in case of W segment there is a direct close out. For arriving at the settlement day all intervening holidays, which include bank holidays, NSE holidays, Saturdays and Sundays are excluded.

Online trading

Trading with the help of computer having internet connection and online trading account is called Online Stock Trading. Basically people use online stock trading who want to trade themselves.

Essentials of online trading

- Online trading account - You have to open an online trading account with any of the bank or financial trading system like ICICIdirect.com, 5paisa.com, Stockkhan.com etc. There will be nominal annual charges. These charges vary from bank to bank but should not be more than Rs.1000.
- A computer with internet connection or can do trading in internet cafe.
- After successfully opening the online account you will receive the **username and password** with the help of which you can login in online trading system and trade yourself.
- The trading system executive (with whom you opened trading account) will help you initially about how to use the online trading system.
- Once you get familiar with the system then you can trade yourself at your home or in the internet cafe.
- Nowadays you can get internet enabled on your cell (which is called GPRS) whose speed will be sufficient to do trading and also the charges of GPRS are very nominal.

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Advantages of Online Trading

- No need to depend on any broker or anybody else to place the order or to square off the order. In short you are the boss of yourself to do trading of stocks.
- Its reliable, convenient and you can take your own decisions yourself by actual selling or analyzing the market on the computer screen instead of calling broker all the time and getting news about the market.
- Its not possible or practical for a broker to update you about each and every news about the market or any news which will influence or affect the stock market. Because he may be having many other customers like you and even if he updates you by that time the news have been affected the concerned sector or stock. So if you are doing online trading yourself, then you may save yourself from big disaster. You will get news and updates on various websites and also on your online trading system and most of the information will be free of cost.
- By doing online trading yourself, you can see and judge where market (or your stock) is heading by seeing different graphs online yourself, which is not possible if you're trading through broker. Some online trading systems have graphs integrated in their system, so your job is to just add those graphs and check the status of current market (or stock) (graphs will be discussed later). And depending on your analysis you can take

steps towards your successfully trading. (How to analyze graphs will be mentioned later).

- All your transactions and related documents can be seen online and can also be downloaded to your PC without depending on your broker. You can also check the status of your amount on daily basis through you online trading system.

Disadvantages of Online Trading

- In online trading system you may face problem of disconnection to internet due to which you will not be able to login to your online trading system and hence you can't do trading yourself. At such critical times you have to call trading system executive and do trading or square off your transactions.
- If may face other problems such as electricity cut-off, PC problem etc. during online trading then immediately you have to contact your trading system executive and place orders or do trading.

Scripless trading

Scripless trading is a term used to describe a procedure of trading in shares, where actual share certificates are not traded but shares are traded in electronic forms, the share traded being adjusted by accounting by an organization known as depository. In India scripless trading first started with the emergence of OTCEI. But it was very limited. The advent of online automated trading in India brought with it several associated benefits such as transparency in trading and equal opportunity for market players all over the country but the problems related to settlement of trades such as high instances of bad deliveries and long settlement cycles continued. As an answer to these settlement problems and in order to provide a safe and efficient system of trading and settlement, Depositories Act, 1996 was enacted. SEBI notified Regulations in order to provide the regulatory framework for the depositories. Depositories gave a new dimension and a new scope for conducting transactions in capital market primary as well as secondary, in a more efficient and effective manner, in a paperless form on an electronic book entry basis. It provided electronic solution to the aforementioned problems of bad deliveries and long settlement cycles. Only after the scripless trading our capital market has come up to international level.

DEPOSITORY SYSTEM

A vibrant and efficient capital market, which ensures an orderly development and contains measures for protection of the investor's interest, is the most important parameter for evaluating health of any economy. The practice of physical trading imposed limits on trading volumes and hence the speed with which new information was incorporated into prices system.

Dematerialization is the processes by which a client can get physical certificates converted into electronic balances maintained in its account with the participant in the depository system securities held in dematerialization form are fungible, i.e., they do not bear any distinguishing features. The financial market exists to facilitate sale and purchase of financial instruments and comprises of two major markets namely the capital Market and the money market. The capital market mainly deals in medium and long – term investments (maturity more than a year) while the money market deals in short-term investments (maturity up to a year).

A major problem however continued to plague the market. The Indian markets were literally weighed down by the need to deal with shares in the paper form. There were problems galore with handling documents-fake and stolen shares, fake signatures and signatures mismatch, duplication and mutilation of shares, and transfer problems etc. so the institutions and the stock exchanges experiences that the paper certificates are the main cause of investor disputes and arbitration cases.

Thus, the Government of India decided to setup a fully automated and high technology based model exchanges, which could offer screen, based trading and depositories as the ultimate answer to all such reforms. Therefore, the government of India promulgated the Depository Ordinance in 1995. However, both houses of Parliament passed the Depositories Act in 1996. The unparalleled success of the introduction of the depository concept in Indian capital markets is reflected in the on-going successful reaction in the period between trading and settlement.

MEANING OF DEPOSITORY

"A Depository is a file or a set of files in which data is stored for the purpose of safe keeping or identity authentication", defined by Germany Depository.

In India, the Depositories Act, 1996 defines a depository to mean "A Company formed and registered under the Companies Act, 1956 and which has been granted a certificate of registration under sub-section (1A) of section 12 of the Securities and Exchanges Board of India Act, 1992".

As per The Bank for International settlements (BIS), depository is "a facility for holding securities which enables securities transactions to e processed by book entry, physical securities may be immobilized by the depository or securities may be dematerialized (so that
they exist only as electronic records)".

Depository Participant (DP)

A DP is an agent of the depository through which it interfaces with the investor and provides depository services. Public financial institutions, scheduled commercial banks, foreign banks operating in India with the approval of the Reserve Bank of India, state financial corporations, custodians, stock-brokers, clearing corporations / clearing houses, NBFCs and registrar to an issue or share transfer agent complying with the requirements prescribed by SEBI can be registered as DP.

Dematerialisation (demat)

Dematerialization is the process by which physical certificates of an investor are converted to an equivalent number of securities in electronic form.

Services provided by a Depository

- Opening a demat account;
- Dematerialization, i.e. converting physical securities into electronic form;
- Rematerialisation, i.e. converting electronic securities into physical form;
- Maintaining record of securities held by the beneficial owners in the electronic form;
- Settlement of trades by delivery or receipt of securities from / in BO accounts;
- Settlement of off-market transactions between BOs;
- Receiving electronic credit in respect of securities allotted by issuers under IPO or otherwise on behalf of demat account holders;

  *Receiving non cash corporate benefits such as allotment of bonus and rights shares or any other non cash corporate benefits given by the issuers in electronic form on behalf of its demat account holders;

- Pledging of dematerialized securities & facilitating loans against shares;
- Freezing of the demat account for debits, credits, or both
- Benefits of availing depository services
  - A safe and convenient way to hold securities;
  - Immediate transfer of securities;
  - No stamp duty on transfer of securities;
  - Elimination of risks associated with physical certificates such as bad delivery, fake securities, delays, thefts etc.
  - Reduction in paperwork involved in transfer of securities;
  - Reduction in transaction cost;
  - No odd lot problem, even one share can be traded;
  - Nomination facility;
  - Change in address recorded with DP gets registered with all companies in which investor holds securities electronically eliminating the need to correspond with each of them separately; Transmission of securities is done by DP eliminating correspondence with companies;
  - Automatic credit into demat account of shares, arising out of bonus/split/consolidation/merger etc;
  - Holding investments in equity and debt instruments in a single account.

SEBI-Role and Functions

The securities and exchange board of India [SEBI] was constituted as a regulatory authority over various constituents of the capital market in the year 1988.though legally SEBI came into existence in 1988; it was made operational and effective from1992 when it was empowered to secure an autonomous position.

Functions of SEBI

1. To protect the interest of investors in securities and to promote the development of and to regulate the securities market by such measures it thinks fit.
2. Regulating the business in stock exchanges and any other securities markets.
3. Registering and regulating the working of stock brokers, sub brokers, share transfer agents, bankers to issue, trustees of trust deed, registrars to an issue,

merchant bankers, underwriters, portfolio managers, investment advisors, and other such intermediaries who may be associated with securities market in any manner.

4. Registering and regulating the working of collective investment schemes including mutual funds.
5. Promoting and regulating self regulatory organizations.
6. Prohibiting fraudulent and unfair trade practices relating to securities markets.
7. Promoting investor education and training of intermediaries of security market.
8. Prohibiting insider trading in securities.
9. Regulating substantial acquisition of shares and takeover of companies.
10. Calling for information form, undertaking inspection, conducting injuries and audits of the stock exchanges and intermediaries, and regulatory organization in security market.
11. Levying fees or other charges for carrying out the purposes of this section.
12. Conducting research for the above purposes.
13. Performing other such functions as may be prescribed.
14. Promoting fair practices and code of conduct for all SROs.

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MUTUAL FUNDS

A mutual fund is a professionally managed type of collective investment scheme that pools money from many investors and invests it in stocks, bonds, short-term money market instruments and other securities. Mutual funds have a fund manager who invests the money on behalf of the investors by buying / selling stocks, bonds etc.

Definition of Mutual Fund

An investment vehicle that is made up of a pool of funds collected from many investors for the purpose of investing in securities such as stocks, bonds, money market instruments and similar assets. Mutual funds are operated by money managers, who invest the fund's capital and attempt to produce capital gains and income for the fund's investors. A mutual fund's portfolio is structured and maintained to match the investment objectives stated in its prospectus.

HISTORY OF MUTUAL FUNDS

The origin of pooled investing concept dates back to the late 1700s in Europe, when "a Dutch merchant and broker invited subscriptions from investors to form a trust to provide an opportunity to diversify for small investors with limited means." The emergence of "investment pooling" in England in the 1800s brought the concept closer to the US shores.

The enactment of two British laws, the Joint Stock Companies Acts of 1862 and 1867, permitted investors to share in the profits of an investment enterprise and limited investor liability to the amount of investment capital devoted to the enterprise. Shortly thereafter, in 1868, the Foreign and Colonial Government Trust was formed in London.

It resembled the US fund model in basic structure, providing "the investor of moderate means the same advantages as the large capitalists by spreading the investment over a number of different stocks." More importantly, the British fund model established a direct link with the US securities markets, helping finance the development of the post-Civil War US economy.

The Scottish American Investment Trust, formed in February 1873, by fund pioneer Robert Fleming, invested in the economic potential of the US, chiefly through American railroad bonds. Many other trusts followed them, who not only targeted investment in America, but led to the introduction of the fund investing concept on the US shores in the late 1800s and the early 1900s. The first mutual or 'open-ended' fund was introduced in Boston in March 1924. The Massachusetts Investors Trust, which was formed as a common law trust, introduced important innovations to the investment company concept by establishing a simplified capital structure, continuous offering of shares, and the ability to redeem shares rather than holding them until dissolution of the fund and a set of clear investment restrictions as well as policies.

The stock market crash of 1929 and the Great Depression that followed greatly hampered the growth of pooled investments until a succession of landmark securities laws, beginning with the Securities Act, 1933 and concluded with the Investment Company Act, 1940, reinvigorated investor confidence. Renewed investor confidence and many innovations led to relatively steady growth in industry assets and number of accounts.

ADVANTAGES OF MUTUAL FUNDS

Mutual fund investments in stocks, bonds and other instruments require considerable expertise and constant supervision, to allow an investor to take the right decisions. Small investors usually do not have the necessary expertise and time to undertake any study that can facilitate informed decisions. While this is the predominant reason for the popularity of mutual funds, there are many other benefits that make mutual funds appealing.

Diversification Benefits

Diversified investment improves the risk return profile of the portfolio. Optimal diversification has limitations due to low liquidity among small investors. The large corpus of a mutual fund as compared to individual investments makes optimal diversification possible. Due to the pooling of capital, individual investors can derive benefits of diversification.

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Low Transaction Costs:

Mutual fund transactions are generally very large. These large volumes attract lower brokerage commissions and other costs as compared to smaller volumes of the transactions that individual investors enter into. The brokers quote a lower rate of commission due to two reasons. The first is competition for the institutional investors business. The second reason is that the overhead cost of executing a trade does not differ much for large and small orders. Hence for a large order these costs spread over a large volume enabling the broker to quote a lower commission rate.

Availability of Various Schemes

There are four basic types of mutual funds: equity, bond, hybrid and money market. Equity funds concentrate their investments in stocks. Similarly bond funds primarily invest in bonds and other securities. Equity, bond and hybrid funds are called long-term funds. Money market funds are referred to as short-term funds because they invest in securities that generally mature in about one year or less. Mutual funds generally offer a number of schemes to suit the requirement of the investors.

Professional Management

Management of a portfolio involves continuous monitoring of various securities and innumerable economic variables that may affect a portfolio's performance. This requires a lot of time and effort on part of the investors along with in-depth knowledge of the functioning of the financial markets. Mutual funds are managed by fund managers generally with knowledge and experience whose time is solely devoted to tracking and updating the portfolio. Thus investment in a mutual fund not only saves time and effort for the investor but is also likely to produce better results.

Liquidity

Liquidating a portfolio is not always easy. There may not be a liquid market for all securities held. In case only a part of the portfolio is required to be liquidated, it may not be possible to see all the securities forming a part of the portfolio in the same proportion as they are represented in the portfolio; investing in mutual funds can solve these problems. A fund house generally stands ready to buy and sell its units on a regular basis. Thus it is easier to liquidate holdings in a Mutual Fund as compared to direct investment in securities.

In India dividend received by investors is tax -free. This enhances the yield on mutual funds marginally as compared to income from other investment options. Also in case of long-term capital gains, the investor benefits from indexation and lower capital gain tax.

Flexibility

Features of a MF scheme such as regular investment plan, regular withdrawal plans and dividend reinvestment plan allows investors to systematically invest or withdraw funds according to the needs and convenience.

Well Regulated

All mutual funds are registered with SEBI and they function within the provisions of strict regulations designed to protect the interest of investors. The SEBI regularly monitors the operations of an AMC.

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Disadvantages of Mutual funds

1. No Insurance: Mutual funds, although regulated by the government, are not insured against losses. That means that despite the risk-reducing diversification benefits provided by mutual funds, losses can occur, and it is possible (although extremely unlikely) that you could even lose your entire investment.

2. Dilution: Although diversification reduces the amount of risk involved in investing in mutual funds, it can also be a disadvantage due to dilution. For example, if a single security held by a mutual fund doubles in value, the mutual fund itself would not double in value because that security is only one small part of the fund's holdings. By holding a large number of different investments, mutual funds tend to do neither exceptionally well nor exceptionally poorly.

3. Fees and Expenses: Most mutual funds charge management and operating fees that pay for the fund's management expenses (usually around 1.0% to 1.5% per year for actively managed funds). In addition, some mutual funds charge high sales commissions, 12b-1 fees, and redemption fees. And some funds buy and trade shares so often that the transaction costs add up significantly. Some of these expenses are charged on an ongoing basis, unlike stock investments, for which a commission is paid only when you buy and sell.

4. Poor Performance: Returns on a mutual fund are by no means guaranteed. In fact, on average, around 75% of all mutual funds fail to beat the major market indexes, like the S&P 500, and a growing number of critics now question whether or not professional money managers have better stock-picking capabilities than the average investor.

5. Loss of Control: The managers of mutual funds make all of the decisions about which securities to buy and sell and when to do so. This can make it difficult for you when trying to manage your portfolio. For example, the tax consequences of a decision by the manager to buy or sell an asset at a certain time might not be optimal for you. You also should remember that you are trusting someone else with your money when you invest in a mutual fund.

5. Trading Limitations: Although mutual funds are highly liquid in general, most mutual funds (called open-ended funds) cannot be bought or sold in the middle of the trading day. You can only buy and sell them at the end of the day, after they've calculated the current value of their holdings.

Size: Some mutual funds are too big to find enough good investments. This is especially true of funds that focus on small companies, given that there are strict rules about how much of a single company a fund may own. If a mutual fund has $5 billion

to invest and is only able to invest an average of $50 million in each, then it needs to find at least 100 such companies to invest in; as a result, the fund might be forced to lower its standards when selecting companies to invest in.

6. **Inefficiency of Cash Reserves**: Mutual funds usually maintain large cash reserves as protection against a large number of simultaneous withdrawals. Although this provides investors with liquidity, it means that some of the fund's money is invested in cash instead of assets, which tends to lower the investor's potential return.

7. **Too Many Choices**: The advantages and disadvantages listed above apply to mutual funds in general. However, there are over 10,000 mutual funds in operation, and these funds vary greatly according to investment objective, size, strategy, and style. Mutual funds are available for virtually every investment strategy (e.g. value, growth), every sector (e.g. biotech, internet), and every country or region of the world. So even the process of selecting a fund can be tedious.

Classification of Mutual Funds

Open-End Mutual Fund

An Open-ended Mutual funds are those funds in which the company can issue always more outstanding shares. It can help to add on the net assets of the company. These types of funds do not have a fixed maturity period. Investors can buy and sell units of these funds at Net Asset Value (NAV) related prices which are published on a daily basis. Open-end schemes are more liquid in nature.

Close-End Mutual Fund

Close Ended mutual fund or generally termed as traded mutual fund is the one that can be bought and sold like a normal share. In it, the number of shares always stays fixed. These funds also have commission which brokers get since the shares of these funds are traded over the counter, like the shares are traded. Close-ended funds has a stipulated maturity period like 5-7 years. It is open for subscription only during the time of launch. Investors can invest in the close ended mutual funds at the time of the initial public issue and thereafter can be brought or sold units of the scheme on the exchanges where the units are listed. Close- ended funds give an option for the investor of selling back the units to the mutual fund through periodic repurchase at NAV related prices. But the commissions will incur for this selling and buying.

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Growth Funds

These type funds are those which invest in the stocks of well-established, blue chip companies. Dividends and steady income are not only goal of these types of funds. But, they are focussed on increasing in capital gains.

Growth and Income funds

These type of mutual funds are focussed on increased capital gains and steady income. Less volatile than Aggressive Growth funds.

Equity Funds

These funds allow an investor to own a portion of the company that they have invested in, its like having shares of a certain company. Stocks that have proven historically to bethe best investment. Also which have already outperformed all other types of investments in long term, but the risk is high. These funds produce a greater level of current income by investing in equity securities of companies with solid reputation and have a good record of paying dividends.

Balanced Funds

Balanced mutual funds have a portfolio mix of bonds, preferred stocks and common stocks. Balanced mutual funds aim to conserve investors' initial investment, to pay an income and to aid in the long-term growth of both the principle and the income.

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Fixed-Income Funds

Fixed-income mutual funds are safer than equity funds, but as always, do not yield as high returns as the latter do. These types of mutual funds are geared towards the investor who is approaching old age and doesn't have many earning years left. Many investors hope to draw a steady income from these types of mutual funds. Bond funds fall into the category of fixed- income funds.

Money-Market Funds

These are generally the safest and most secure of mutual fund investments. They invest in the largest, most stable securities, including Treasury bills. The chances of your capital being eroded are very minimal. Money-market funds are risk-free. If you invest a thousand rupees,

you will get that money back. It is simply a matter of when you get it back. When investing in a money-market fund, you should pay attention to the interest rate that is being offered, along with the rules regarding check-writing. Money-markets have allowed investors to reap high yields on their deposits, and have made the entire investment process more accessible to people.

The interest rates on money-market funds are changing nearly day to day. In times of inflation, these funds have had high yields.

Index Funds

They invest in the portfolio of a index such as BSE Sensitive index (SENSEX) , S&P NSE 50 index (Nifty), etc. The investment is done in the securities in the same weightage comprising of an index. You can see that the NAVs of such schemes would rise or fall in accordance with the rise or fall in the index. It may not be exactly by the same percentage due to "tracking errors"

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